

Japan Autos & Auto Parts

Electric Revolution: Resilience – Japan's EV takeoff in 2026 and the promise and pitfalls of China-exclusive models



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Welcome to the 2026 edition of Bernstein's Electric Revolution series - our annual cross sector look at the transformation of the EV landscape. This year, we focus on supply chain resilience, a theme rising in importance as EV adoption diverges by region and geopolitical risks intensify. OEMs and suppliers face growing pressure to anticipate, navigate, and recover quickly from disruptions across sourcing, production, and logistics. In this note, we revisit our xEV outlook for Japan and examine how Japanese automakers and suppliers are adapting to China's increasingly localized EV market.

2026 set to mark Japan's EV takeoff, a small step but a significant inflection point:

As Japanese automakers begin a broad rollout of new EV models, we raise our Japan BEV penetration forecasts to 3.7% in 2026 (vs. 1.3% previously) and 44% by 2035 (vs. 38% previously). While still low by global standards, this marks a meaningful shift for a market that has long remained at just 1-2% BEV penetration. The change should be supported by government measures that increasingly favor domestic automakers, including higher EV subsidies and charging infrastructure expansion. At the same time, new model launches from global automakers, including the BYD Racco, should further accelerate EV adoption.

'Multi-pathway' to pay off, strong HEV momentum while laying the groundwork for an EV fightback:

While many global automakers that pursued the EV transition have seen earnings come under pressure, Japanese automakers have remained relatively resilient thanks to their 'multi-pathway' approach. In particular, HEVs have benefited from the recent EV slowdown. Global HEV sales have grown at a double-digit rate since 2019, surpassing 10 mn units in 2025, with momentum remaining solid in 2026. Japanese automakers continue to dominate the market with a combined share of ~37%. For EVs, despite accounting for just 3% of the global BEV market in 2025, we believe this largely reflects a limited lineup. The number of BEV models is expected to increase from 43 in FY3/26 to 123 by FY3/31, supporting future share gains.

The promise and pitfalls of China-exclusive models: China has become a key battleground in Japanese automakers' EV fightback. As local brands continue to gain share, Japanese automakers have started to increasingly rely on China-exclusive models developed with local partners, a strategy that has proven effective for Toyota, Nissan and Mazda. These models are becoming increasingly important not only in China but also globally as exports begin to expand. However, the strategy comes with risks. Chinese-style price competition could pressure profitability, while greater local sourcing threatens affiliated Japanese suppliers. With signs of this trend spreading into ASEAN, companies such as Toyota Boshoku and Tokai Rika may face rising earnings risk.

Toyota remains our top pick: Toyota continues to benefit from strong HEV demand while entering a more meaningful phase of EV expansion, which should help ease concerns over its HEV dependence and support a potential re-rating. We are also positive on the success of its China-exclusive strategy and the company's increasing exposure to China's advanced EV development capabilities. We maintain our Outperform rating on Suzuki, whose entry into the Kei-car EV segment comes as the market begins to scale.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	18 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
7203.JP (Toyota)	O	JPY	3,022.00	4,100.00	(32.0)%	JPY	295.25	341.54	386.98	10.2	8.8	7.8
7269.JP (Suzuki)	O	JPY	2,081.00	2,600.00	(30.3)%	JPY	227.69	264.55	252.79	9.1	7.9	8.2
7267.JP (Honda)	M	JPY	1,713.00	1,400.00	(33.1)%	JPY	(106.06)	172.12	160.19	(16.2)	10.0	10.7
7201.JP (Nissan)	U	JPY	333.30	300.00	(40.1)%	JPY	(152.58)	5.18	47.09	(2.2)	64.4	7.1
7261.JP (Mazda)	U	JPY	1,184.00	1,100.00	(16.4)%	JPY	55.64	143.86	159.28	21.3	8.2	7.4
7270.JP (Subaru)	U	JPY	2,588.50	2,200.00	(49.0)%	JPY	125.50	217.99	245.84	20.6	11.9	10.5
8015.JP (Toyota Tsusho)	O	JPY	7,373.00	8,650.00	59.2%	JPY	350.95	437.72	471.25	21.0	16.8	15.6
6902.JP (Denso)	M	JPY	1,933.50	2,000.00	(45.3)%	JPY	162.96	153.88	169.61	11.9	12.6	11.4
7259.JP (Aisin)	M	JPY	2,258.00	2,400.00	(39.0)%	JPY	232.64	218.66	222.16	9.7	10.3	10.2
JPL			2,729.57									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate **Toyota Outperform** with a price target of **JPY 4,100.00**.

We rate **Suzuki Outperform** with a price target of **JPY 2,600.00**.

We rate **Honda Market-Perform** with a price target of **JPY 1,400.00**.

We rate **Nissan Underperform** with a price target of **JPY 300.00**.

We rate **Subaru Underperform** with a price target of **JPY 2,200.00**.

We rate **Mazda Underperform** with a price target of **JPY 1,100.00**.

We rate **Toyota Tsusho Outperform** with a price target of **JPY 8,650.00**.

We rate **Denso Market-Perform** with a price target of **JPY 2,000.00**.

We rate **Aisin Market-Perform** with a price target of **JPY 2,400.00**.

DETAILS

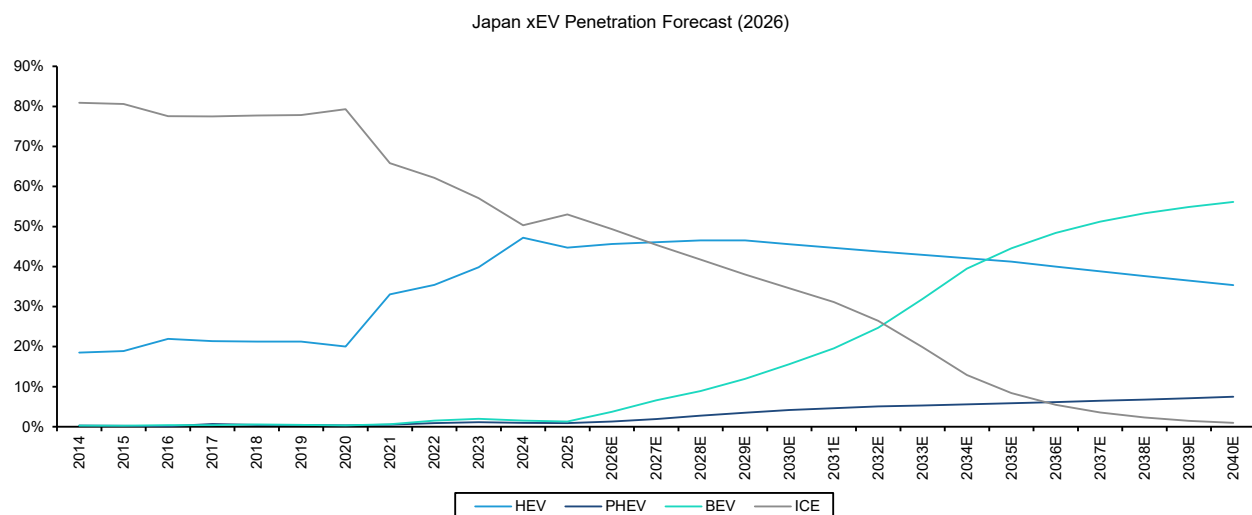
ELECTRIC REVOLUTION: ELECTRIC REVOLUTION: RESILIENCE – JAPAN'S EV TAKEOFF IN 2026 AND THE PROMISE AND PITFALLS OF CHINA-EXCLUSIVE MODELS

Welcome to the 2026 edition of Bernstein's *Electric Revolution* series - our annual cross sector look at the transformation of the EV landscape. This year, we focus on supply chain resilience, a theme rising in importance as EV adoption diverges by region and geopolitical risks intensify. OEMs and suppliers face growing pressure to anticipate, navigate, and recover quickly from disruptions across sourcing, production, and logistics. In this note, we revisit our xEV outlook for the Japanese auto market and examine the latest developments in the Japan autos sector.

UPDATING OUR XEV FORECAST, A NOTABLE LIFT TO JAPAN'S EV OUTLOOK

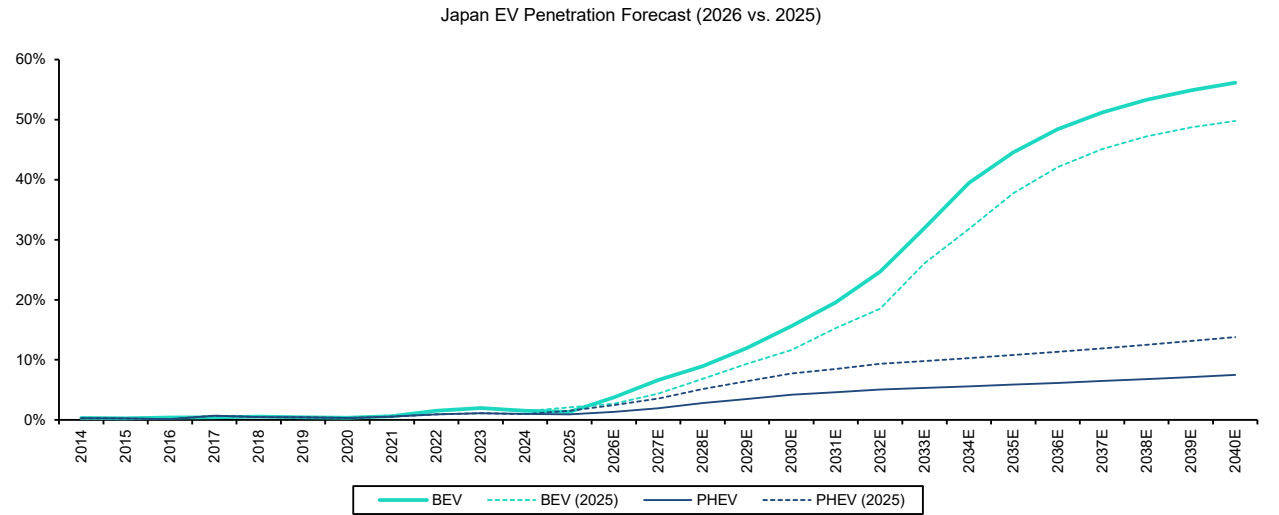
Relative to our prior forecast, we have significantly raised our outlook for BEV penetration in Japan (Exhibit 1). We now expect BEV penetration to reach 3.7% in 2026 versus 2.7% previously, more than doubling from 1.3% in 2025. We forecast penetration to rise to 16% by 2030 versus 12% previously, and to 44% by 2035 versus 38% previously (Exhibit 2). This upward revision reflects the beginning of full-scale launches of new EV models (BEV/PHEV) by Japanese automakers, making 2026 a likely inflection point in the long-standing trend. EV market share in Japan has remained around 2% for years, remarkably low relative to other developed markets. However, a wave of new model introductions, increased government subsidies, and accelerated expansion of charging infrastructure are expected to lift EV penetration to more meaningful levels starting this year. While HEVs currently account for around 45% of the Japanese market and are likely to peak toward the end of the 2020s before gradually declining, we still expect them to maintain a share of more than 40% in 2035. In short, 2026 is set to mark the Japan autos sector's EV take-off. Of course, Japan's EV share won't suddenly catch up with other markets overnight, but this small step is likely to represent big progress, one that could reshape the long-term trend. Indeed, monthly BEV penetration in Japan has accelerated rapidly since the start of 2025, reaching a record high of 3.8%, suggesting that the expected inflection point may already be underway (Exhibit 3).

EXHIBIT 1: A notable upgrade to our Japan EV outlook as BEV adoption accelerates



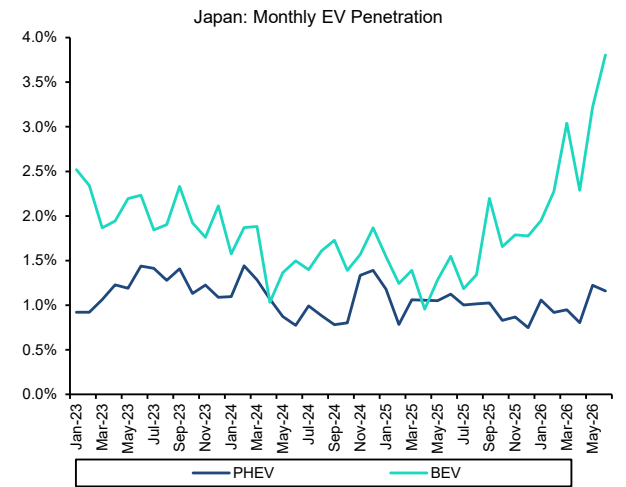
Source: IHS, SNE Research, Bernstein analysis and estimates

EXHIBIT 2: **We now forecast Japan BEV penetration at 3.7% in 2026 (vs. 2.7% previously), 16% in 2030 (vs. 12%), and 44% in 2035 (vs. 38%)**



Source: IHS, SNE Research, Bernstein analysis and estimates

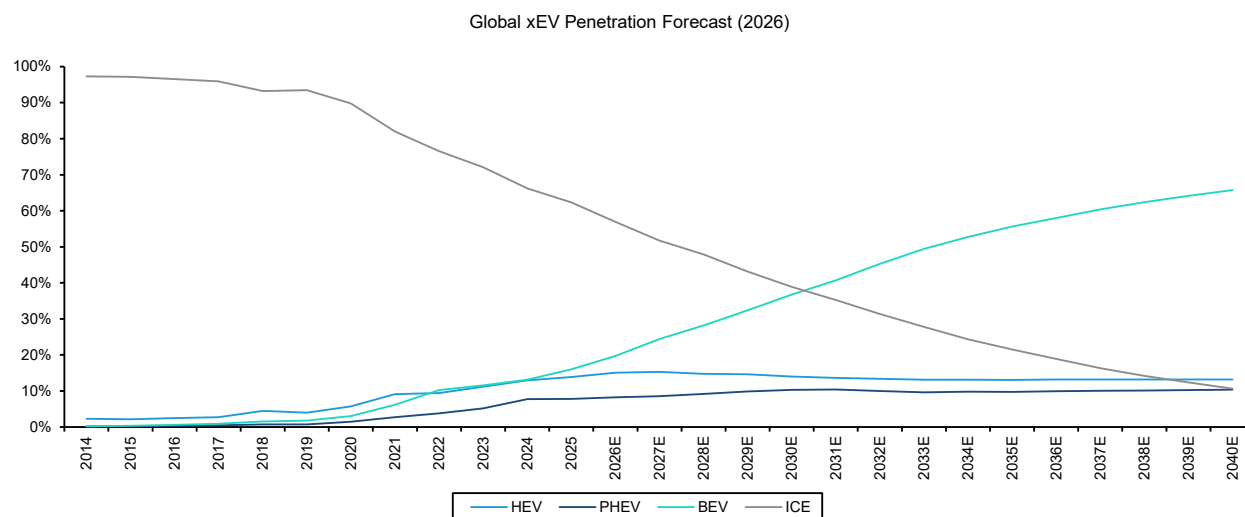
EXHIBIT 3: **Japan's monthly BEV penetration has accelerated rapidly since 2025, reaching a record high of 3.8% in June-2026**



Source: JADA, Marklines, Bernstein analysis

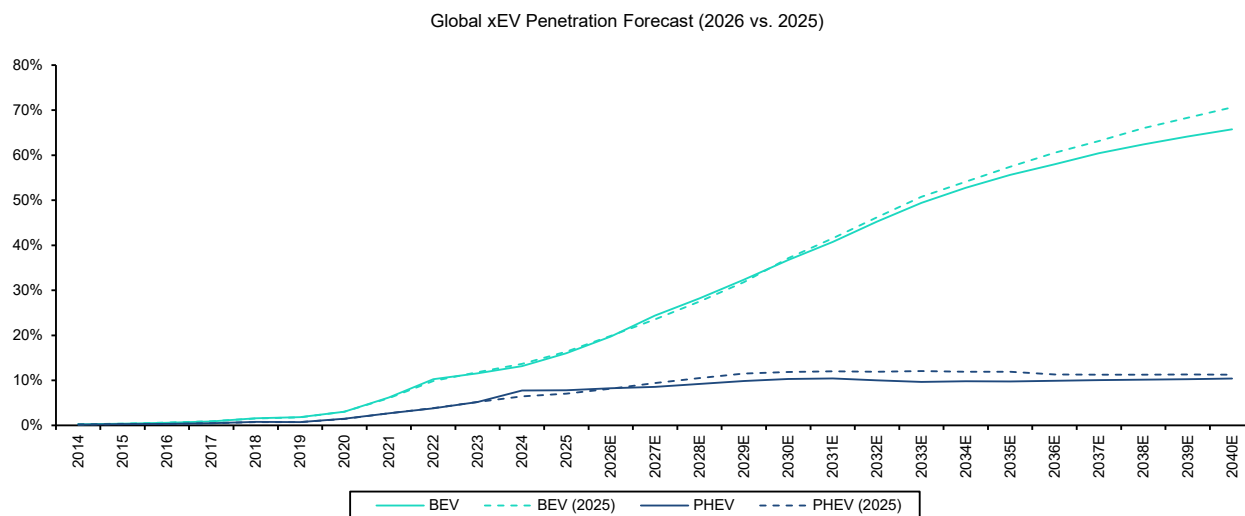
For the global outlook, while the US is moving toward looser environmental regulations and Europe is reconsidering its plan to phase out ICEs, developments that could slow EV demand in the short term, we believe the longer term global transition toward xEVs remains inevitable, supported by the environmental policies and decarbonization targets already established in many major markets. Bernstein's global autos team now forecasts global xEV penetration to reach 78.5% by 2035 compared with 83.8% in last year's outlook (Exhibit 4). In the near term, the increase will be partially driven by growth in HEVs, which are expected to peak at 15.3% in 2027 before gradually moderating to 14.0% by 2030. Over the longer term, we have modestly lowered our global EV (BEV + PHEV) penetration forecasts versus last year and now expect penetration to reach 47.1% in 2030 and 65.4% in 2035, compared with our previous estimates of 49.0% and 69.3%, respectively (Exhibit 5).

EXHIBIT 4: Bernstein's global autos team now forecasts global xEV penetration to reach 78.5% by 2035 (vs. 83.8% in last year's outlook)



Source: IHS, SNE Research, Bernstein analysis and estimates

EXHIBIT 5: We have modestly lowered our global EV penetration and now expect penetration to reach 47.1% in 2030 and 65.4% in 2035 (vs. previous 49.0%/69.3%)



Source: IHS, SNE Research, Bernstein analysis and estimates

Japan's initiatives that appear to align with the rollout of EV models

In the Japanese auto market, we expect EV demand to strengthen as Japanese automakers accelerate their model launches from 2026. Toyota has also continued to broaden its BEV lineup across a wide range of price points and vehicle segments (Exhibit 6). In February 2026, the company unveiled the e-Atrai/e-Hijet Cargo, the first Kei-car BEVs to be introduced under its compact vehicle subsidiary Daihatsu. Alongside the refreshed bZ4X launched last year and the bZ4X Touring introduced in Febr-2026, Toyota's premium Lexus brand also offers dedicated BEV models such as the RZ. Including several other models not discussed here, Toyota has steadily built out a more comprehensive BEV portfolio spanning everything from entry-level commercial and Kei-cars to mainstream passenger cars and premium segments.

EXHIBIT 6: **Toyota: Current BEV model lineup in Japan**

Brand	Daihatsu	Toyota	Toyota	Lexus
Model	e-Atrai	bZ4X	bZ4X Touring	RZ
Trim	RS	Z	Z	350e
Image				
Segment	A-Segment Van	D-Segment SUV	D-Segment SUV	D-Segment SUV
Sales price (JPY k)	3,465	5,500	5,750	7,900
L x W x H (m)	3.4 x 1.5 x 1.9	4.7 x 1.9 x 1.7	4.7 x 1.9 x 1.7	4.3 x 1.9 x 1.6
Cubic meter (m3)	9.5	14.4	15.0	14.9
Vehicle weight (kg)	1,300	1,880	1,920	1,950
Fast charging time (min)	50	30	28	28
EV Range (km)	257	746	734	733
Battery capacity (kWh)	36.6	74.7	74.7	77
Electric mileage (km/kWh)	7.0	10.0	9.8	9.5
Price (JPY k) / m3	365	382	382	530
Price (JPY k) / Electric Mileage	493	551	585	830

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; EV range based on WLTP

Source: IHS, Company reports and website, Bernstein analysis

Honda has significantly revised its BEV strategy following substantial losses related to its electrification business and a major reduction in previously announced EV investment and model rollout plans. Nevertheless, the company continues to expand its BEV lineup in Japan, primarily focusing on compact vehicles (Exhibit 7). The N-ONE e:, launched in May 2026, has been well received by the market, accumulating approximately 14,000 orders by the end of July. In addition, Honda began sales of the Insight in April 2026, importing the model from China, where it is produced as the e:NS2 by Dongfeng Honda. This also suggests that Honda has started leveraging underutilized production capacity at its Chinese plants, where BEV manufacturing utilization rates have remained low, by using China as an export base for selected BEV models.

EXHIBIT 7: **Honda: Current BEV model lineup in Japan**

Brand	Honda	Honda	Honda	Honda
Model	N-VAN e:	N-ONE e:	Super-ONE	Insight
Trim	L4	G		FF
Image				
Segment	A-Segment Van	A-Segment Car	A-Segment Car	C-Segment SUV
Sales price (JPY k)	2,699	2,699	3,390	5,500
L x W x H (m)	3.4 x 1.5 x 2.0	3.4 x 1.5 x 1.5	3.5 x 1.6 x 1.6	4.8 x 1.8 x 1.6
Cubic meter (m3)	9.8	7.7	9.1	13.4
Vehicle weight (kg)	1,130	1,030	1,090	1,770
Fast charging time (min)	30	40	30	24
EV Range (km)	245	295	274	535
Battery capacity (kWh)	29.6	29.6	29.6	69
Electric mileage (km/kWh)	8.3	10.0	9.3	7.8
Price (JPY k) / m3	275	351	372	410
Price (JPY k) / Electric Mileage	326	271	366	709

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; EV range based on WLTP

Source: IHS, Company reports and website, Bernstein analysis

Nissan's new BEV launches and refreshes have been relatively limited as the company adapts to changing global electrification trends while advancing its restructuring efforts. Nevertheless, Nissan continues to offer three BEV models in Japan (Exhibit 8). The Sakura, a kei-car BEV, received an additional grade in April 2026, making the model available at a more affordable price point of just over JPY 2.5 million. The Leaf was refreshed in October 2025 and now offers a WLTC-rated driving range of up to 702 km, among the longest available in the Japanese market. The Ariya has also remained competitive, having received a minor update in 2025. Despite a more cautious product strategy, Nissan continues to maintain a presence across key BEV segments ranging from entry-level kei vehicles to mainstream passenger cars and premium crossovers.

EXHIBIT 8: **Nissan: Current BEV model lineup in Japan**

Brand	Nissan	Nissan	Nissan
Model	Sakura	Leaf	Ariya
Trim	S	B7 X	B9
Image			
Segment	A-Segment Car	C-Segment SUV	C-Segment SUV
Sales price (JPY k)	2,449	5,189	7,468
L x W x H (m)	3.4 x 1.5 x 1.7	4.4 x 1.8 x 1.6	4.5 x 1.9 x 1.7
Cubic meter (m3)	8.3	12.2	14.1
Vehicle weight (kg)	1,070	1,880	2,060
Fast charging time (min)	40	35	45
EV Range (km)	180	702	640
Battery capacity (kWh)	20	75	91
Electric mileage (km/kWh)	9.0	9.4	7.0
Price (JPY k) / m3	295	425	531
Price (JPY k) / Electric Mileage	272	554	1,062

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; EV range based on WLTP

Source: IHS, Company reports and website, Bernstein analysis

Suzuki entered Japan's BEV market in January 2026 with the launch of the e Vitara, the company's first battery electric vehicle (Exhibit 9). The company is also expected to further expand its electrified lineup with the introduction of the e-Sky Kei-car BEV later this year. Subaru, meanwhile, continues to pursue its BEV strategy in collaboration with Toyota. The Solterra, Subaru's sister model to the Toyota bZ4X, received a refresh in October 2025, while the Trailseeker, which is a sister model to Toyota C-HR+, was launched in April 2026. Through this partnership, Subaru has been able to expand its BEV lineup while leveraging

Toyota's scale, technology, and development resources, enabling a more efficient approach to electrification despite the relatively limited size of Subaru's global operations.

EXHIBIT 9: Suzuki & Subaru: Current BEV model lineup

Brand	Suzuki	Suzuki	Subaru	Subaru
Model	e Vitara	e-SKY	Solterra	Trailseeker
Trim	X	Concept	ET-SS	ET-SS
Image				
Segment	B-Segment SUV	A-Segment Car	D-Segment SUV	D-Segment SUV
Sales price (JPY k)	3,993	TBD	5,610	5,940
L x W x H (m)	4.3 x 1.8 x 1.6	3.4 x 1.5 x 1.6	4.7 x 1.9 x 1.7	4.8 x 1.9 x 1.7
Cubic meter (m3)	14.9	8.1	14.4	15.1
Vehicle weight (kg)	1,835	TBD	1,880	2,015
Fast charging time (min)	28	TBD	35	30
EV Range (km)	520	>270	746	734
Battery capacity (kWh)	61	TBD	74.7	74.7
Electric mileage (km/kWh)	8.5	TBD	10.0	9.8
Price (JPY k) / m3	268	TBD	390	393
Price (JPY k) / Electric Mileage	468	TBD	562	605

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; EV range based on WLTP

Source: IHS, Company reports and website, Bernstein analysis

We expect Japan's EV transition in 2026 will be supported by additional momentum from BYD's entry into the Kei-car BEV market (as highlighted in [our report published on July 29th](#)) and new EV introductions from several global automakers. In particular, this year has seen a notable influx of Asian brands, with a wide range of BEVs either already launched or scheduled to enter the Japanese market (Exhibit 10).

The most noteworthy development is the BYD Racco, as BYD's decision to enter Japan's uniquely regulated Kei-car segment with a highly competitive price point of JPY 1,995k (subsidies applied) represents a significant milestone. The move has the potential to broaden BEV adoption by addressing one of the key barriers in the Japanese market: affordability. South Korea's Kia has also entered the Japanese market through a niche category, introducing a D-Van BEV called 'PV5' targeting commercial and business users. While the company's presence remains relatively small, it demonstrates growing interest among foreign automakers in underserved EV segments within Japan.

Although there have been no major recent announcements, GAC (covered by Eunice Lee) has also continued to make progress in Japan. The company held a public display and test-drive event for the Y Plus at Gulliver, one of Japan's largest automobile dealership networks, in October 2025. During the event, GAC suggested that the Y Plus would be launched in Japan in the summer of 2026 with a price range of ~ JPY 3.3-4.5 mn.

Looking further ahead, Chery (not covered) has announced plans to launch a Kei-car BEV in 2027 through EMTA, a joint venture established with Yueda (not covered) and Autobacs (not covered), one of Japan's largest automotive aftermarket retailers. As a result, competition in Japan's EV market is expected to intensify further, particularly as Asian automakers increasingly target segments that have traditionally been dominated by domestic manufacturers.

EXHIBIT 10: **Asian automakers: BEV models launching in 2026**

Brand	BYD	Kia	GAC Aion	EMTA (Chery)
Model	Racco	PV5 Standard	Y Plus	A-MPV
Image				
Segment	A-Segment Car	D-Segment Van	C-Segment Car	A-Segment MPV
Sales price (JPY k)	X,XXX	7,090	3,300	N/A
L x W x H (m)	3.4 x 1.5 x 1.8	4.7 x 1.9 x 1.9	4.3 x 1.9 x 1.6	N/A
Cubic meter (m3)	9.0	16.9	12.4	N/A
EV Range (km)	>200	377	420	N/A
Battery capacity (kWh)	20	52	44	N/A
Electric mileage (km/kWh)	>10.0	7.3	9.5	N/A
Launch date	July 2026	May 2026	Summer 2026	2027

Note: EV range based on WLTP or CLTC

Source: Nikkei, Marklines, Company websites and reports

European automakers are also expected to continue introducing BEVs to the Japanese market, focusing not on low-price strategies like Chinese manufacturers, but rather on technological differentiation through SDVs and next-generation vehicle architectures (Exhibit 11). BMW's (covered by Stephen Reitman) iX3 will be the first production SUV based on the company's next-generation Neue Klasse platform and is positioned as a vehicle built around a full SDV architecture. Meanwhile, Volvo Car's (covered by Harry Martin) ES90, alongside the EX90, serves as a flagship BEV representing the company's SDV strategy, featuring centralized computing architecture and continuous functionality upgrades through OTA updates. Mercedes-Benz's (covered by Stephen Reitman) CLA BEV is a cornerstone of the company's electrification strategy, built on the newly developed MMA platform and offering a highly efficient powertrain and long driving range.

EXHIBIT 11: **European automakers: BEV models launching in 2026**

Brand	BMW	Volvo Cars	Mercedes-Benz
Model	iX3 50 xDrive	ES90 Plus	CLA
Image			
Segment	D-Segment SUV	E-Segment Car	C-Segment Car
Sales price (JPY k)	9,820	14,600	~10,000
L x W x H (m)	4.7 x 1.9 x 1.6	5.0 x 1.9 x 1.6	4.7 x 1.9 x 1.5
Cubic meter (m3)	14.8	15.1	12.7
EV Range (km)	743	665	792
Battery capacity (kWh)	109	92	89
Electric mileage (km/kWh)	6.8	7.2	8.9
Launch date	July 2026	July 2026	Summer 2026

Note: EV range based on WLTP or CLTC

Source: Nikkei, Marklines, Company websites and reports

At the same time, Japan is beginning to see a series of policy initiatives that appear to move in step with the coming wave of EV model launches. From April 2026, the government revised its model specific EV subsidy framework. While many Japanese automakers were able to maintain or even increase the level of subsidies available for their EVs compared with the January to March 2026 period, subsidies for many European and Korean EV models were reduced (Exhibit 12). For example, Subaru's Solterra qualified for a subsidy of JPY1.28 mn during January to March 2026, which increased slightly to JPY1.29 mn from April 2026 onward. In contrast, Audi's A6 Sportback e-tron, which qualified for a JPY1.0 mn subsidy through 2026, is scheduled to

see its subsidy reduced to JPY288k from January 2027.

The subsidy framework evaluates vehicles based on a range of criteria, including vehicle performance, charging infrastructure initiatives, and supply chain stability. Vehicles scoring 130 points or more out of a maximum 200 points qualify for subsidies of up to JPY1.25 mn, while those scoring 115 to 129 points receive JPY950k. Models scoring 54 points or lower are eligible for only JPY150k. Notably, BYD was the only PV manufacturer whose models received the minimum subsidy level. One of the key changes in the revised framework was the addition of an evaluation category that rewards automakers whose battery production plans have been officially certified by the Japanese government. This change contributed to lower subsidy levels for many imported vehicles. Even Japanese automakers such as Suzuki and Nissan, which have not yet obtained certification for domestic battery production plans, saw subsidy reductions, with differences of up to JPY320k observed among domestic manufacturers. Although critics have argued that the revised framework has a protectionist dimension and reflects industrial policy considerations, the overall direction of the policy appears increasingly supportive of Japanese automakers' EV businesses.

EXHIBIT 12: While many Japanese automakers were able to maintain or even increase the level of subsidies for their EVs, subsidies for many European and Korean EV models were reduced

JP Automakers							
	Brand	Model	Subsidy (JPY k)				Difference (vs. 2026/01-03)
			~2025/12	2026/01-03	2026/04-12	2027/01~	
Increased	Jeep	Avenger	690	840	1,290	1,290	450
	Porsche	Taycan	120	120	208	208	88
	Honda	Honda e	890	1,290	1,300	1,300	10
	Subaru	Solterra	880	1,280	1,290	1,290	10
	Nissan	Sakura	574	574	580	580	6
	Honda	N-ONE e:	574	574	580	580	6
	MMC	ek X EV	568	568	574	574	6
No Change/New Models	Toyota	bZ4X	900	1,300	1,300	1,300	-
	Tesla	Model 3	870	1,270	1,270	1,270	-
	Daihatsu	e Atrai	N/A	N/A	356	356	N/A
	Honda	Insight	N/A	N/A	1,300	1,300	N/A
	Honda	Super-ONE	N/A	N/A	1,300	1,300	N/A
	Suzuki	e Atrai	N/A	N/A	568	568	N/A
	Subaru	Trailseeker	N/A	N/A	1,290	1,290	N/A
Decreased	Mazda	MX-30	570	875	840	840	-35
	BMW	iX3	650	650	480	480	-170
	Mercedes-Benz	EQA	660	860	860	680	-180
	Volkswagen	ID.4 Pro	660	660	460	460	-200
	BYD	Atto3	350	350	150	150	-200
	Nissan	Leaf	890	1,290	1,290	1,000	-290
	Suzuki	e Vitara	870	1,270	1,270	980	-290
	Hyundai	IONIQ 5	670	870	870	470	-400
	Audi	A6 Sportback e-tron	688	1,008	1,008	288	-720

Note: Stellantis (incl. Jeep), VW (incl. Audi), BMW, Mercedes and Porsche covered by Stephen Reitman; BYD covered by Eunice Lee; Hyundai and Tesla not covered
Source: Nikkei, METI, Bernstein analysis

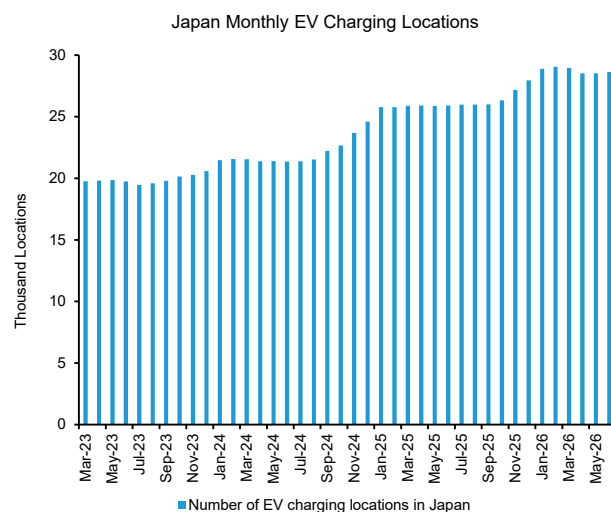
According to GoGoEV, Japan has ~28k charging locations as of June 2026 (Exhibit 13), representing ~55k charging connectors in total (Exhibit 14). Of these, ~40k were 200V AC chargers (normal chargers) and ~14k were CHAdeMO chargers, Japan's domestically developed fast charging standard, together accounting for the vast majority of the country's charging infrastructure. Overall, charging infrastructure in Japan has continued to expand over time, and we expect this growth trend to persist in the coming years, supported by both government policy initiatives and ongoing investment from automakers.

In October 2023, the Japanese government introduced its guidelines for promoting the development of charging infrastructure, setting a target to expand the country's charging network from ~68k charging points as of the end of 2024 to 300k by 2030. In addition to providing subsidies for both residential and commercial charging installations, the government is supporting the expansion of the charging network through measures such as incorporating automakers' contributions to domestic charging infrastructure development into the evaluation criteria for EV purchase subsidies.

In parallel with government initiatives, automakers are also stepping up efforts to expand charging infrastructure. Toyota announced in 2021 a plan to install fast chargers at all of its approximately 5,000 affiliated dealerships by around 2025. While the rollout pace has slowed alongside weaker BEV demand, the company continued to advance its charging infrastructure strategy, targeting 500 fast chargers by FY2025. In addition, Toyota launched its TEEMO charging service in October alongside the introduction of the updated bZ4X. The service offers a pay as you go charging model with no monthly membership fee, helping enhance charging accessibility for Toyota BEV owners.

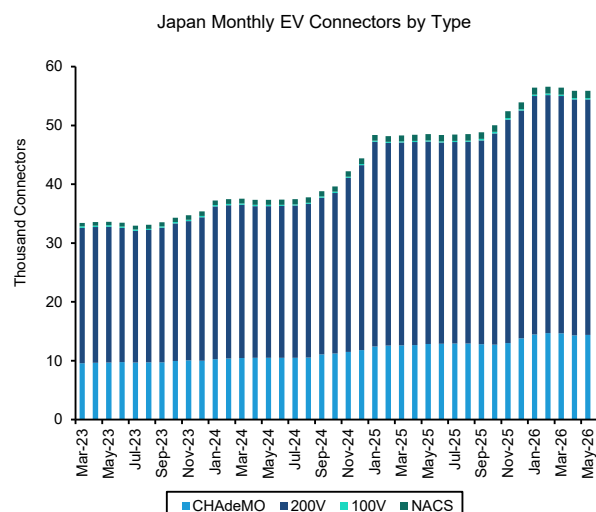
Honda has also accelerated its charging infrastructure efforts. In September 2025, the company launched the Honda Charge service in conjunction with the release of the N-ONE e:. Similar to Toyota's offering, Honda Charge adopts a pay as you go pricing model with no basic monthly fee. Honda plans to expand the number of Honda Charge compatible charging points to several thousand by 2030, focusing on Honda Cars dealerships and commercial facilities across Japan. The company has also partnered with major furniture retailer Nitori to deploy Honda Charge compatible chargers in parking lots at Nitori stores, further broadening the accessibility of its charging network.

EXHIBIT 13: Japan has ~28k charging locations as of June 2026



Source: GoGoEV, Bernstein analysis

EXHIBIT 14: Japan has ~55k charging connectors in total as of June 2026



Source: GoGoEV, Bernstein analysis

JAPANESE AUTOMAKERS' MULTI-PATHWAY APPROACH UNDERPINS RELATIVE PERFORMANCE

Many global automakers that had fully committed to EV transition are now scaling back previously ambitious sales targets and investment plans, taking large impairment and restructuring charges, placing significant pressure on earnings as EV demand slows (Exhibit 15). In contrast, Japanese automakers have been far less affected. By pursuing a multi-pathway approach that captures demand across the full range of xEV powertrains, Japanese automakers have limited the impact of the EV slowdown on performance. They continue to benefit from long-standing strength in HEVs and broad model lineups, enabling them to capture accelerating HEV demand and support both revenue growth and margin expansion. As a result, Japanese automakers appear to have greater capacity to sustain investment in EV development and the rollout of new EV models even as global EV momentum softens. In an ironic shift, Japanese automakers, long viewed as laggards in EV adoption, are increasingly well positioned to prepare for the more decisive EV transition expected over the long term.

EXHIBIT 15: Global automakers have begun revising their BEV-related plans since 2025 and are booking substantial losses as a result

Automaker	Announcements & reports on BEV plan revisions	
	Date	Detail
Nissan	Jul-2025	• Reportedly cut its 2027 BEV mix target and delayed US production of 2 BEV SUV models at its Canton plant to late 2028/early 2029
	May-2026	• Reportedly cancelled BEV production plans at its Mississippi plant and shift toward ICEV production
Honda	May-2025	• Scaled down its electrification strategy by postponing the investment into EV supply chain in Canada • Lowered planned investment in electrification and software defined mobility by FY2030 to JPY 7 tn from 10 tn
	Mar-2026	• Announced the cancellation of the development and launch of three next-generation BEV models from its "0 (Zero)" series, including SUV and sedan variants originally scheduled for release in 2026
	Apr-2026	• Announced the cancellation of the development and launch of Sony Honda Mobility's AFEELA 1 and its subsequent SUV model
	May-2026	• Announced the withdrawal of its target to make 100% of new vehicle sales BEVs and FCVs by 2040 • Booked a JPY 1.58 tn loss related to the cancellation of development for three BEV models (0 series) • Reportedly halted construction of planned EV and battery plants in Ontario, Canada, which had originally been scheduled to begin operations in 2028
Subaru	Nov-2025	• Announced to reallocate part of its JPY 1.2 tn electrification investment toward ICE/HEVs and consider delaying the roll-out of 4 self-developed BEV models
Mazda	Jan-2026	• Reportedly delays its global strategic BEV launch from 2027 to 2029 or later
	May-2026	• Announced a reduction in electrification investment through 2030 by JPY 300 bn to JPY 1.2 tn
GM	Jan-2026	• Booked USD 7.6 bn BEV-related loss in 2H FY25, mainly from supplier settlement costs tied to canceled procurement contracts
Ford	Dec-2025	• Booked a USD 19.5 bn loss and is reallocating capital from BEVs to ICE/HEVs/REEVs while restructuring production
Stellantis	Feb-2026	• Recorded EUR 22.2 bn EV-strategy-related impairment; US new EV launch canceled and exit from the LG Energy Solution battery JV in Canada
Volkswagen	Sep-2025	• Effectively abandoned its >80% EV sales mix target by 2030 and
Renault	Jan-2026	• Reportedly plan to close BEV subsidiary Ampere and reintegrate operations into the group

Note: Stellantis, VW, Renault covered by Stephen Reitman; GM and Ford not covered

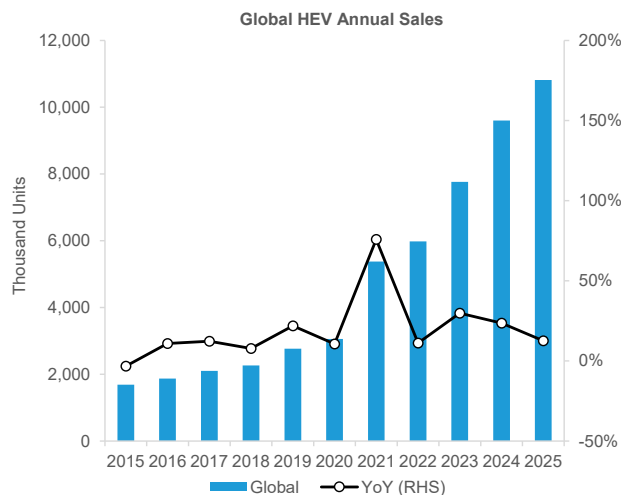
Source: Bloomberg, Reuters, Nikkei, Company reports, Bernstein analysis

Accelerating HEV demand supported by higher fuel prices and reduced EV incentives

As EV support policies are scaled back across the US and other major markets, global demand for HEVs is accelerating, supported by their advantages in fuel efficiency and affordability. Globally, HEV sales have delivered double-digit growth every year since 2019, surpassing 10 mn units in 2025 (Exhibit 16). Growth has remained resilient in 2026, with sales up 6.9% YoY in YTD (Exhibit 17).

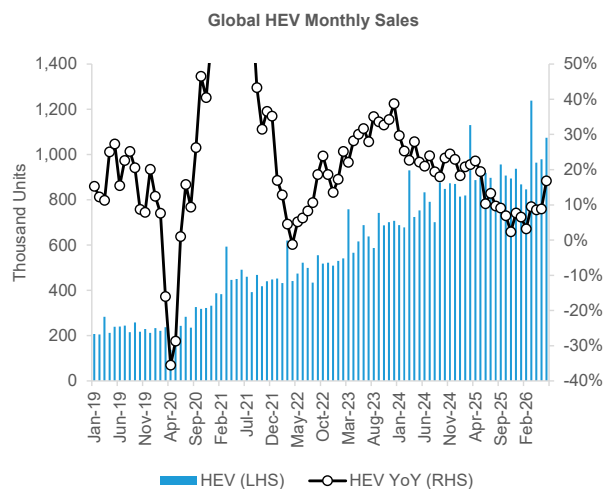
By region, the US and Europe have been the key growth drivers. In the US, HEV sales reached 2.2 mn units in 2025 (+37.3% YoY). Growth has remained strong in 2026 YTD, with sales increasing 17.7% YoY through May, supported by reduced EV incentives and higher fuel prices, which have improved the relative attractiveness of HEVs. Europe has also seen robust growth, with HEV sales exceeding 4.9 mn units in 2025 (+12.7% YoY). Momentum has remained strong in 2026, with YTD sales through May rising +10.4% YoY. Japan, the home market for Japanese automakers, has not benefited to the same extent from the recent acceleration in global HEV demand, given its already high HEV penetration. As a result, HEV sales in Japan declined by a low single-digit percentage in both 2025 and 2026 YTD. Nevertheless, Japan remains a critically important market, accounting for 18.5% of the global HEV market and representing a market roughly comparable in size to the US in sales volume. Moreover, given the dominant market share held by Japanese automakers domestically, the Japanese market continues to provide an important source of volume and profitability for the industry.

EXHIBIT 16: Global HEV sales have delivered double-digit growth every year since 2019, surpassing 10 mn units in 2025



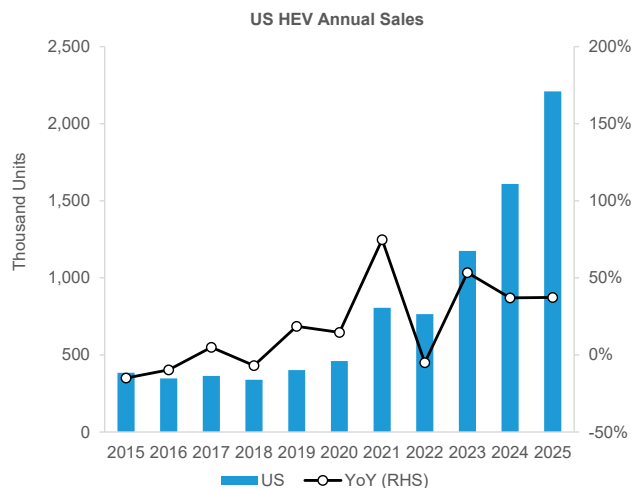
Source: SNE Research, Bernstein analysis

EXHIBIT 17: Growth in global HEV demand has remained resilient in 2026, with sales up 6.9% YoY in YTD



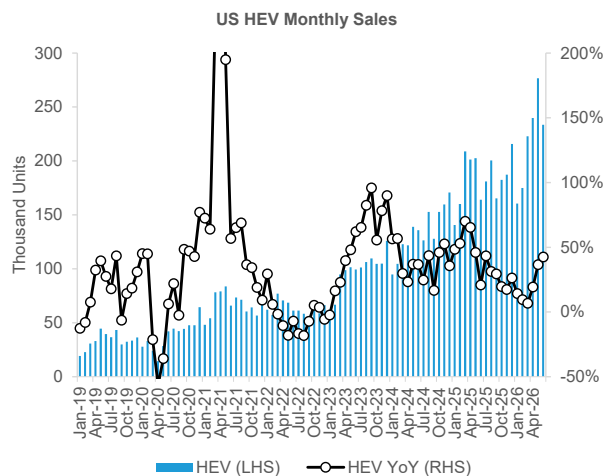
Source: SNE Research, Bernstein analysis

EXHIBIT 18: US HEV sales reached 2.2 mn units in 2025 (+37.3% YoY)

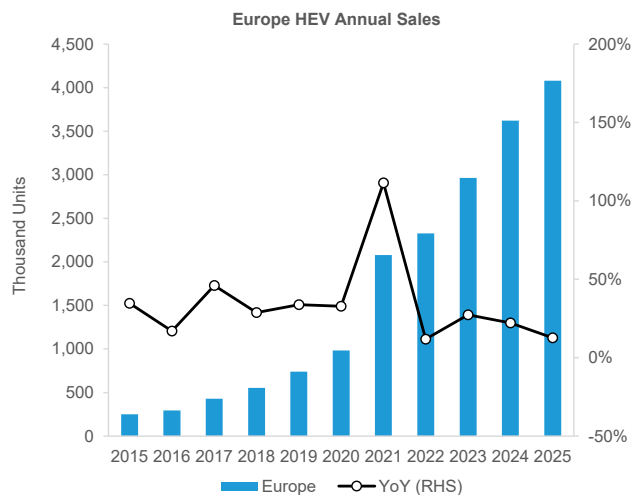


Source: SNE Research, Bernstein analysis

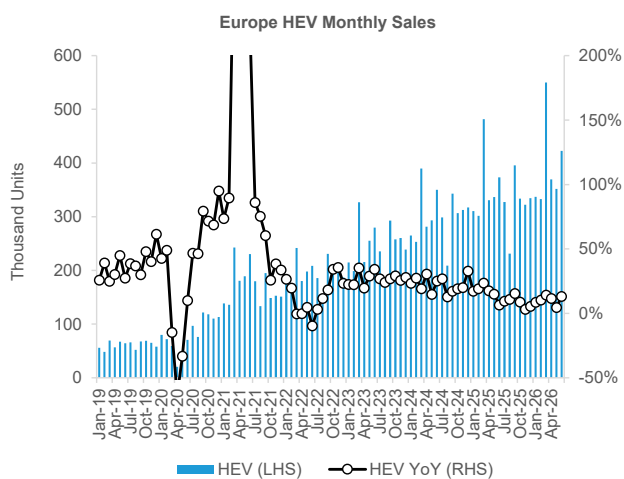
EXHIBIT 19: Growth in the US HEV demand has remained strong in 2026 YTD, with sales increasing 17.7% YoY



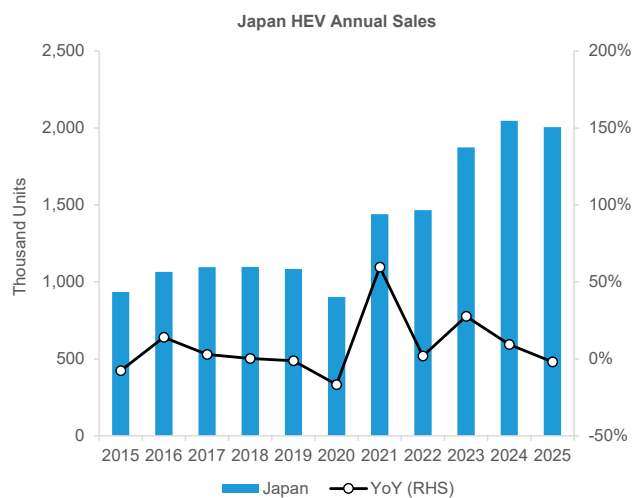
Source: SNE Research, Bernstein analysis

EXHIBIT 20: Europe HEV sales reached 4.1 mn units in 2025 (+12.7% YoY)

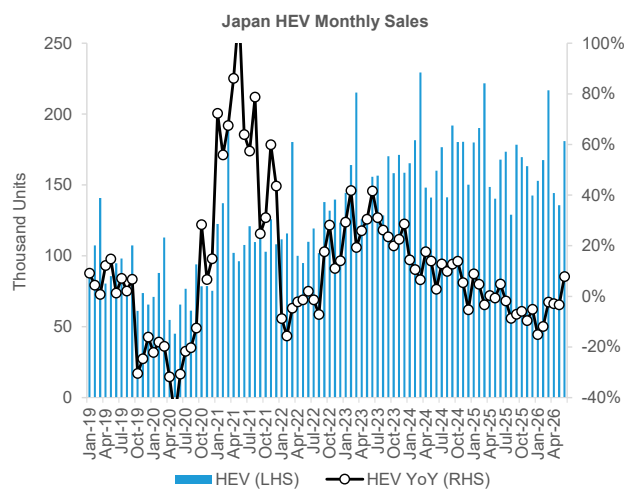
Source: SNE Research, Bernstein analysis

EXHIBIT 21: Growth in Europe HEV demand has remained strong in 2026 YTD, with sales increasing 10.2% YoY

Source: SNE Research, Bernstein analysis

EXHIBIT 22: Japan HEV sales have remained above 2 mn units since 2024

Source: SNE Research, Bernstein analysis

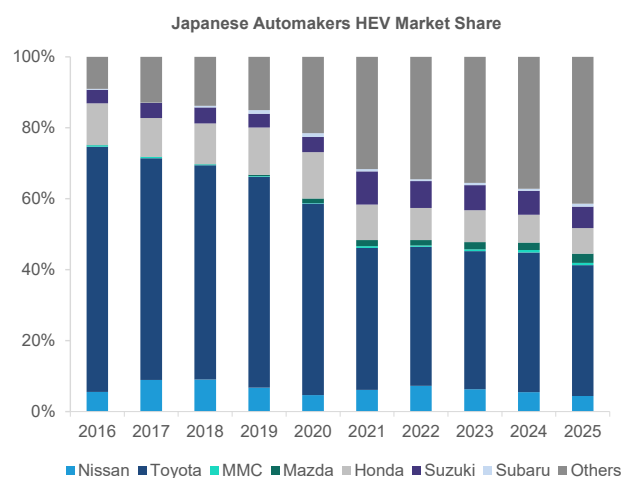
EXHIBIT 23: Growth in Japan HEV demand has moderated due to higher penetration than in other regions

Source: SNE Research, Bernstein analysis

HEV leadership supports Japanese automakers' relative outperformance in the near to medium term

Japanese automakers continue to lead the global HEV market with a market share of ~60% as of 2025. We believe that, building on this dominant position, they are well-placed to sustain and potentially expand their market share through further improvements in HEV system efficiency and continued expansion of their model lineup. (Exhibit 24). Three out of five top players are Japanese automakers in the HEV market share ranking (Exhibit 25). Toyota leads the market with a 36.9% market share, with Honda in fourth place with 7.2%, and Suzuki in fifth with 6.0%.

EXHIBIT 24: Despite share loss over the years, Japanese automakers still hold 59% market share as of 2025



Note: Market share based on group-level sales of automakers (Japanese automaker sales include joint venture models), MMC (Mitsubishi Motors) not covered

Source: SNE Research, Bernstein analysis

EXHIBIT 25: We expect Toyota/Honda's market share to recover with expansion of model offerings

HEV Sales M/S Ranking	2021	2022	2023	2024	2025
1 Toyota	40.0%	39.2%	38.9%	39.4%	36.9%
2 Hyundai & Kia	9.5%	10.1%	10.2%	9.7%	10.1%
3 Stellantis	4.1%	4.2%	3.9%	4.9%	7.6%
4 Honda	10.0%	9.1%	9.0%	7.8%	7.2%
5 Suzuki	9.4%	7.5%	7.1%	6.8%	6.0%
6 Nissan	6.1%	7.2%	6.3%	5.5%	4.4%
7 Ford	4.9%	5.4%	5.3%	5.1%	4.1%
8 Volkswagen	4.6%	4.3%	4.1%	4.0%	3.9%
9 Renault	2.0%	2.8%	3.2%	3.4%	3.3%
10 BMW	2.7%	2.5%	2.5%	2.7%	3.1%
11 Mercedes	0.9%	1.7%	2.6%	3.1%	2.8%
12 Mazda	1.7%	1.6%	2.0%	2.0%	2.6%
13 Geely	1.5%	1.6%	1.4%	1.4%	2.1%
14 Dacia	0.0%	0.0%	0.1%	0.7%	1.5%
15 SAIC	0.0%	0.0%	0.1%	0.4%	1.3%
16 Subaru	0.6%	0.5%	0.7%	0.5%	0.8%
17 Tata	1.3%	1.0%	1.1%	0.9%	0.7%
18 Mitsubishi	0.5%	0.4%	0.5%	0.7%	0.6%
19 GWM	0.2%	0.4%	0.3%	0.3%	0.4%
20 Dongfeng Motor	0.0%	0.0%	0.1%	0.3%	0.2%

Japan Automakers M/S	68.4%	65.5%	64.5%	62.8%	58.6%
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Note: Market share based on group-level sales of automakers (Japanese automaker sales include joint venture models), MMC (Mitsubishi Motors) not covered

Source: SNE Research, Bernstein analysis

Japanese automakers offer various types of HEV systems. Toyota's series/parallel HEV system is already in its fifth generation, while Nissan and Honda have adopted relatively simplified series HEV systems (Exhibit 26). Honda appears to have an advantage under high speed and long-distance driving conditions through the use of a switching clutch. Nissan has developed its third generation e-Power system with improved highway fuel efficiency and has introduced it in the Qashqai in Europe since 2025. The company also plans to launch the Rogue in North America in the second half of 2026, marking the first introduction of an e-Power vehicle in the region.

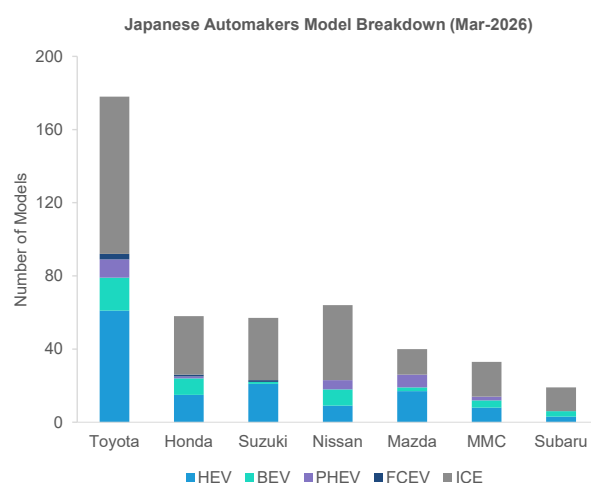
EXHIBIT 26: Japanese automakers offer various types of HEV systems

	Toyota	Honda	Nissan
System			
HEV type	Series/parallel	Series with switching clutch	Series
Switching clutch	-	Adopted (Switch to engine travel mode)	-
Motor operating range flexibility	Flexible	Flexible	-
Generator output	✓	✓✓✓	✓✓✓
Drive motor output	✓✓✓	✓✓✓	✓✓✓
System efficiency	✓✓✓	✓✓	✓
Battery capacity	✓	✓✓	✓✓✓
Efficiency reliance on engine	✓✓	✓	✓
System control complexity	✓✓✓	✓	✓
Estimated cost (affordability)	✓✓✓	✓✓	✓
Patentability	✓	✓	✓
Battery	Toyota Battery, etc.	Blue Energy	Vehicle Energy Japan, etc.
Bernstein Overall Score			

Source: Company reports, Marklines, Nikkei xTECH, Bernstein analysis

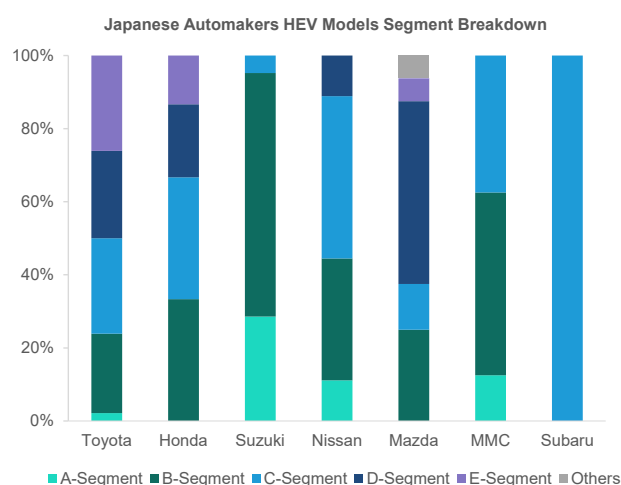
Japanese automakers already have a wide range of HEV model lineups (Exhibit 27). Toyota is selling 61 HEV (FHEV+MHEV) models accounting for 34% of its total model lineup, followed by Suzuki selling 21 HEV models (FHEV+MHEV) and Honda selling 15 models (26% of its total model lineup). In terms of vehicle segment exposure, Toyota and Honda's HEV model lineup cover a wide range of segments (B/C/D/E segment) in a well-balanced manner (Exhibit 28). Going forward, we expect Japanese automakers to maintain a vast number of HEV models in their lineup (Exhibit 29). Particularly, Toyota will maintain a vast number of HEV models (~83 FHEV models in FY3/26 to ~80 models in FY3/31) in its lineup while Suzuki will accelerate HEV model launches from FY3/28.

EXHIBIT 27: Toyota currently selling 61 HEV models, accounting for 34% of its total lineup

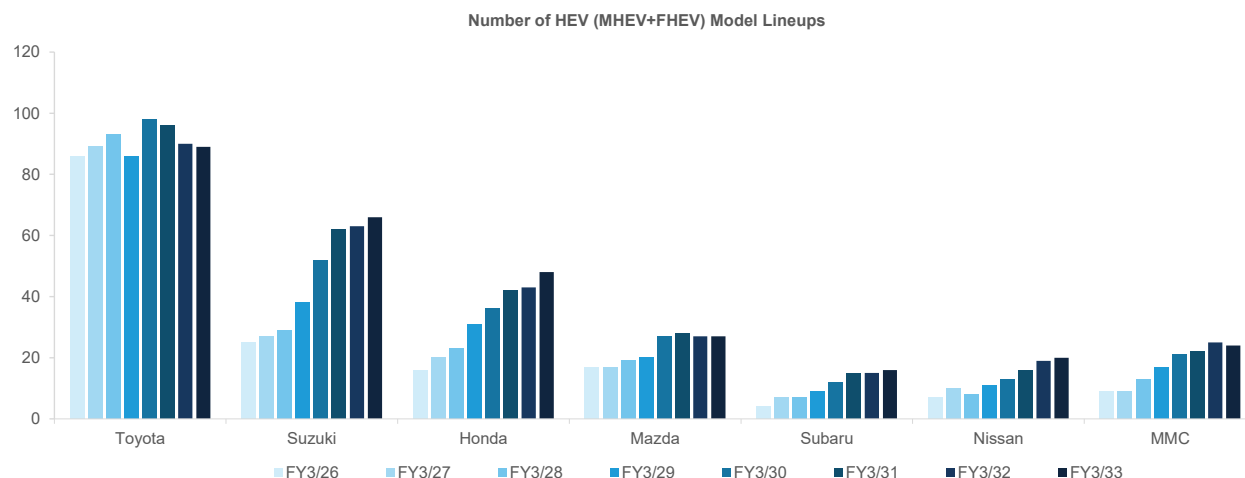


Note: MMC not covered
Source: IHS, Bernstein analysis

EXHIBIT 28: Toyota and Honda's HEV model lineup cover a wide range of segments in a balanced manner



Note: MMC not covered
Source: IHS, Bernstein analysis

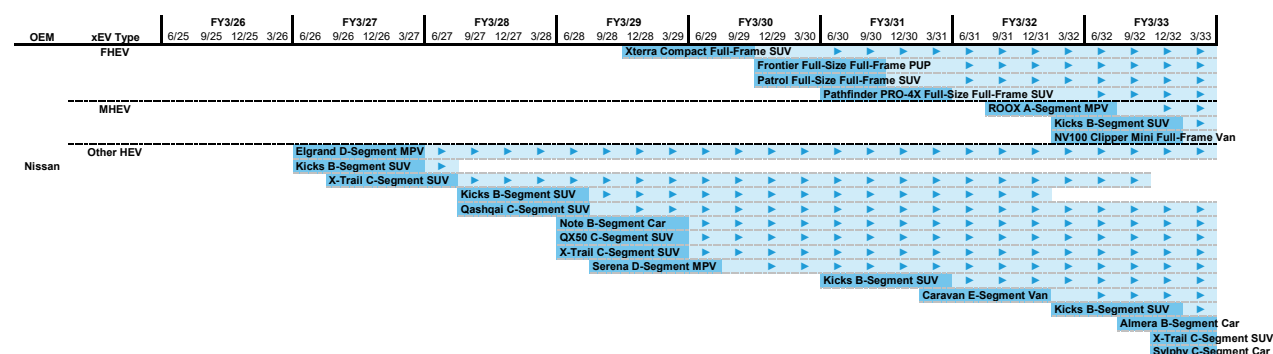
EXHIBIT 29: **We expect Japanese automakers to maintain a vast number of HEV models in their lineup**

Excludes models with below 10,000 average annual units for Nissan, Toyota, Honda and Suzuki. Excluded models with below 1,000 average annual units for MMC, Mazda and Subaru

Source: IHS, Bernstein analysis

Looking at the new HEV model pipeline by automaker based on IHS data, the expansion of Nissan's HEV lineup, particularly in the US market, will be critical to the success of its turnaround plan (Exhibit 30). This is because Nissan has so far lacked a HEV portfolio in the US, where demand for hybrid vehicles continues to grow.

We expect Nissan to launch 9 series-hybrid models over FY3/27-FY3/29. The Elgrand and Kicks, both equipped with the 3rd-generation e-Power system, have already been launched in Japan, while the X-Trail e-Power (Rogue in North America) is scheduled for launch from CY2026 Q3. These are key volume models, and their commercial success will play an important role in determining the outcome of Nissan's turnaround strategy. By the end of CY2028, Nissan is also expected to introduce the Xterra, a US-produced V6 hybrid off-road SUV. This full hybrid system is likely to be rolled out progressively across Nissan's larger full-frame SUV and pickup lineup, including the Frontier, Patrol, and Pathfinder.

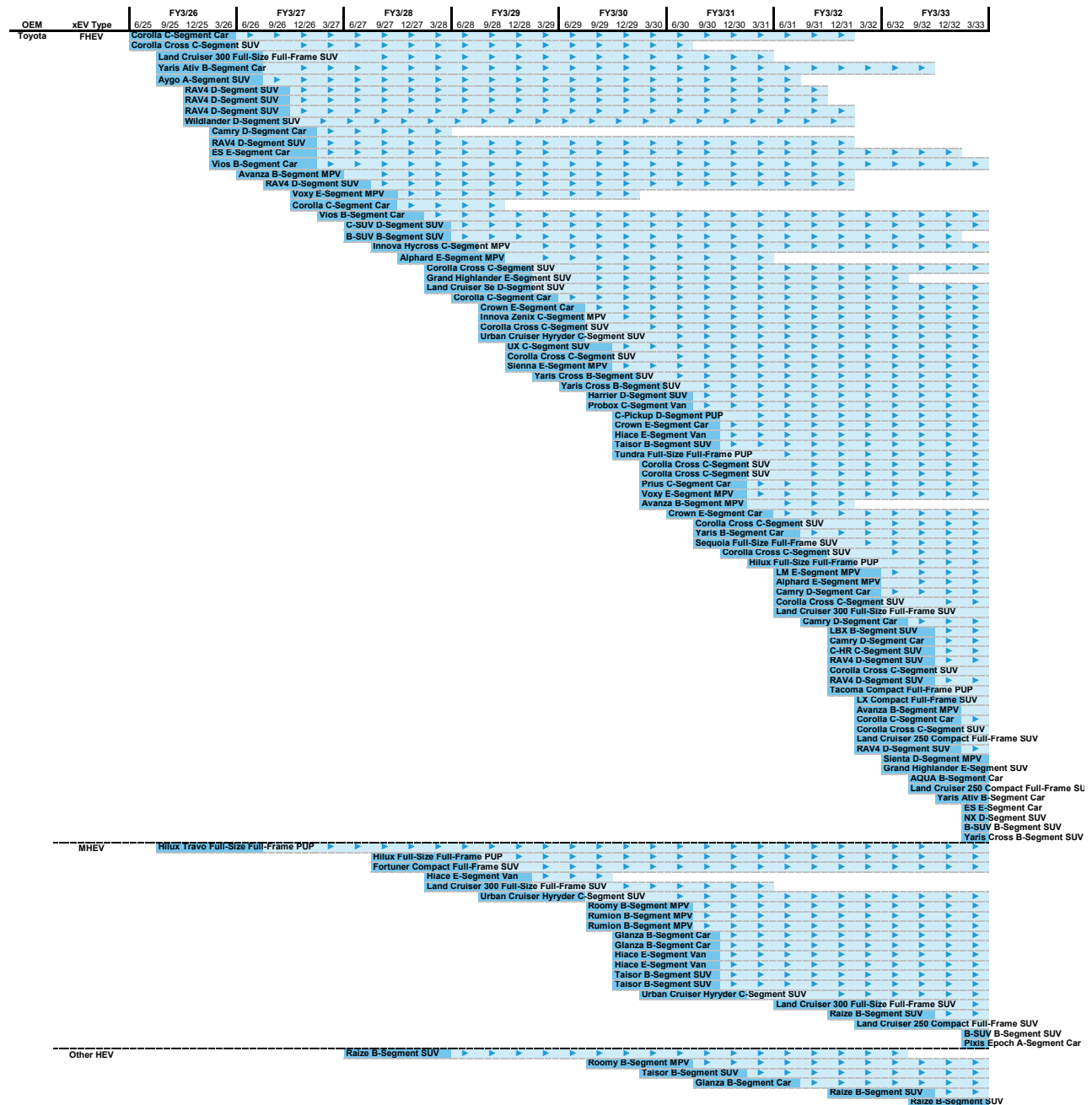
EXHIBIT 30: **Nissan's HEV model pipeline**

Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

We believe Toyota will be able to maintain its dominant position in the HEV market, supported by an unmatched pace of model launches (Exhibit 31). IHS expects Toyota to introduce 108 new HEV models between FY3/26 and FY3/31, far exceeding its peers. For its global volume drivers, including the Corolla, Camry, and RAV4, Toyota is expected to roll out refreshed or redesigned models every 3 to 5 years, including facelifts. At the same time, the company continues to develop HEV models tailored to local market needs, such as the Yaris Ativ in Thailand, the Innova in Indonesia, and the Urban Cruiser Hyryder (MHEV) in India. This combination of frequent model renewals for core global nameplates and localized HEV offerings should help Toyota further strengthen its already leading position in the global HEV market.

EXHIBIT 31: **Toyota's HEV model pipeline**



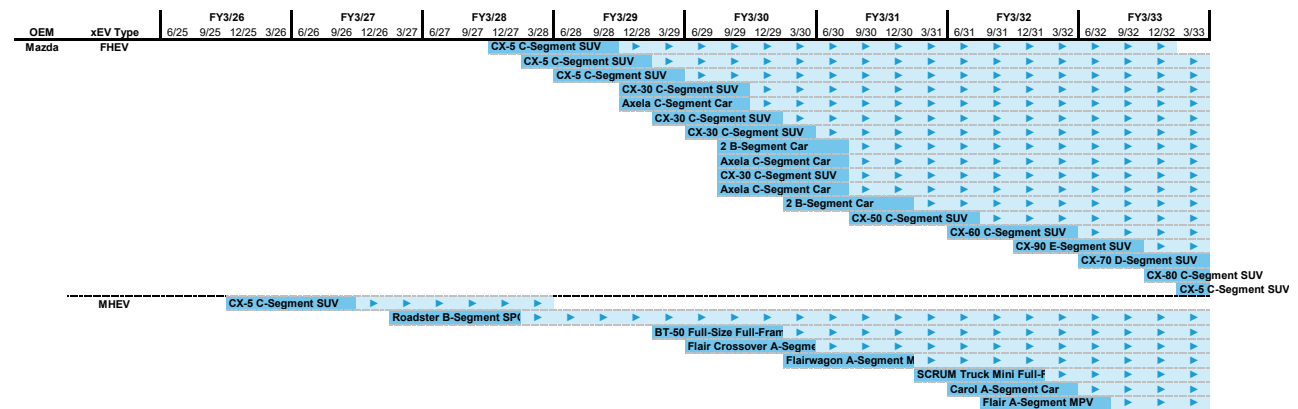
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

IHS expects Mazda to expand its HEV lineup meaningfully, with 27 new HEV models projected to be launched between FY3/26 and FY3/33 (Exhibit 32). In particular, we expect the rollout of FHEV models to accelerate from FY3/28 onward. At present, Mazda does not have an in-house FHEV system and primarily offers MHEV vehicles. The all-new CX-5, Mazda's core model and launched from late 2025, is currently available only with MHEV variants.

While the strong hybrid (FHEV) version of the CX-50 sold in North America utilizes a Toyota-supplied hybrid system, Mazda is expected to introduce an FHEV variant of the next-generation CX-5 from CY2027 Q4. After that, FHEVs are likely to become the centerpiece of Mazda's HEV portfolio, particularly across its SUV lineup, including models such as the CX-30 and CX-60.

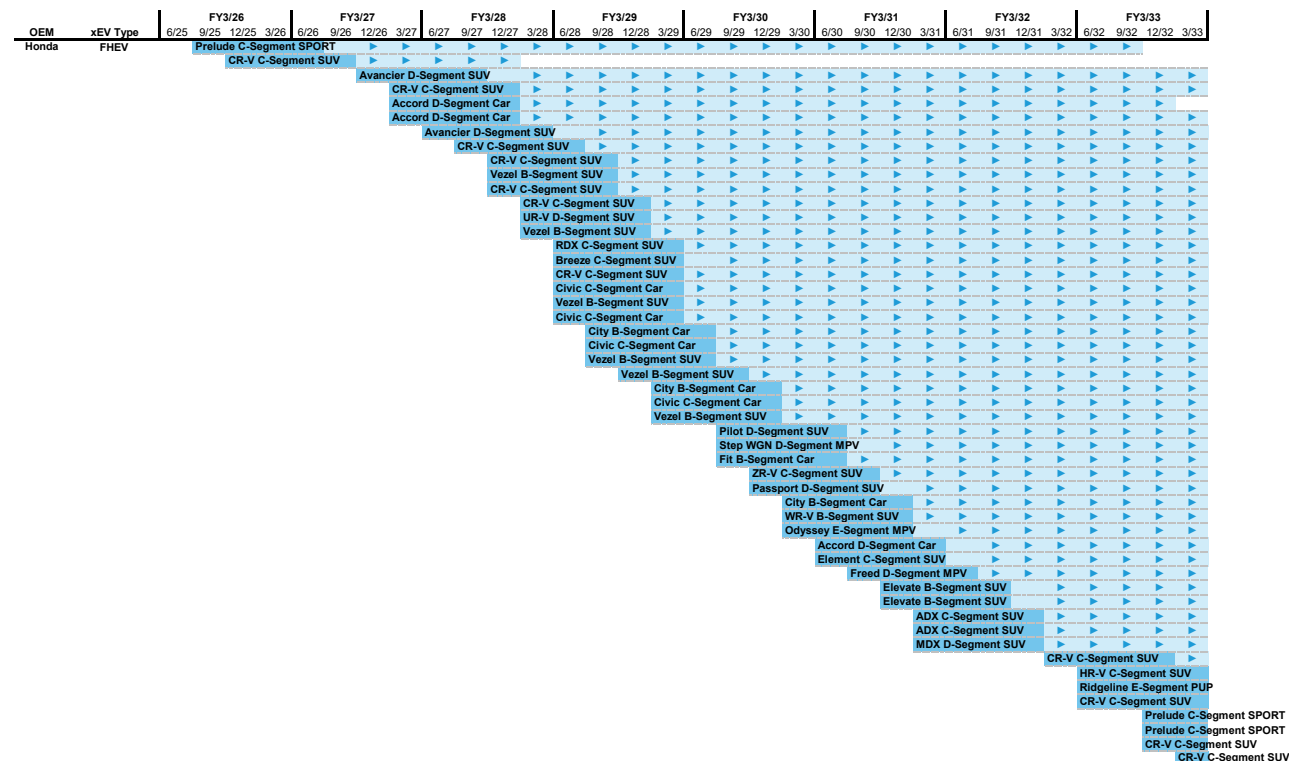
EXHIBIT 32: **Mazda's HEV model pipeline**



Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru
Source: IHS, Bernstein analysis

Honda also has a robust HEV product pipeline, with 51 new HEV models to be launched between FY3/26 and FY3/33 (Exhibit 33). Compared with Toyota, Honda's HEV strategy is more concentrated around its core high-volume models, with HEV variants expected to be rolled out primarily for key models such as the Accord, Civic, CR-V, and Vezeal. In addition, Honda remains focused on FHEV systems, where it enjoys a technological edge, and does not currently plan to introduce MHEVs or pure series-hybrid architectures such as Nissan's e-Power.

EXHIBIT 33: **Honda's HEV model pipeline**



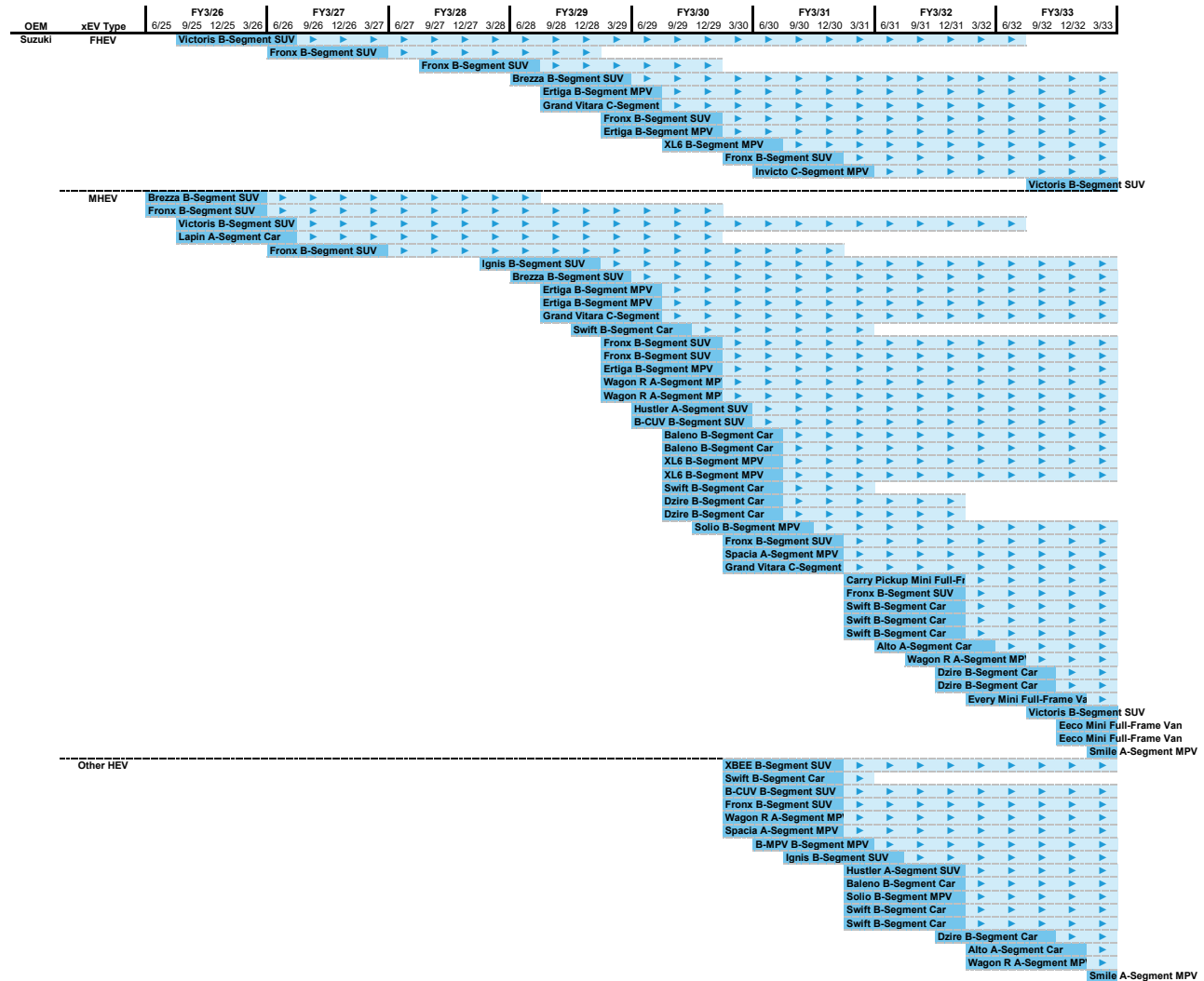
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru
Source: IHS, Bernstein analysis

Suzuki's HEV portfolio has historically been centered on mild hybrid vehicles, reflecting its strong exposure to small-car markets such as India. However, the company has one of the most robust HEV pipelines among Japanese automakers, with 72 new HEV models to be launched between FY3/26 and FY3/33. We believe Suzuki is well positioned to benefit from the gradual

electrification of the Indian market, where electrification trends continue to lag those of developed markets.

In addition, IHS expects a CNG-fueled HEV variant to be introduced for the Ertiga from CY2028 Q3, highlighting Suzuki's ability to tailor its product strategy to local market characteristics. Suzuki is also advancing the development of higher-output series hybrid systems and series/parallel hybrid systems, as outlined in its [Technology Strategy Briefing 2025](#). The high-output series hybrid system could potentially be deployed in compact vehicles such as the Swift in India and the Spacia in Japan. We believe these next-generation hybrid technologies could further strengthen Suzuki's competitiveness in small-car segments, where fuel efficiency and affordability remain key purchasing criteria.

EXHIBIT 34: Suzuki's HEV model pipeline

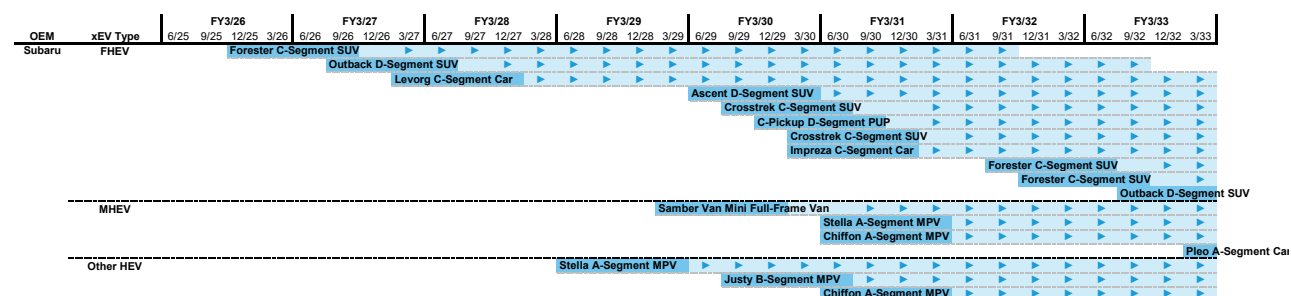


Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

IHS expects Subaru to expand its FHEV lineup in response to the growth of the HEV market in its core US market (Exhibit 35). According to IHS, the company plans to launch 11 FHEV models between FY3/26 and FY3/31. The Forester introduced last year combined Subaru's horizontally opposed engine with Toyota's Toyota Hybrid System (THS). In contrast, the new Levorg will feature a dedicated strong hybrid system developed based on THS and tailored specifically for Subaru. Going forward, Subaru is likely to introduce FHEVs across its core C/D-segment SUVs sold in the US, while adopting MHEVs and series hybrids for smaller vehicles primarily targeted at the Japanese market.

EXHIBIT 35: Subaru's HEV model pipeline

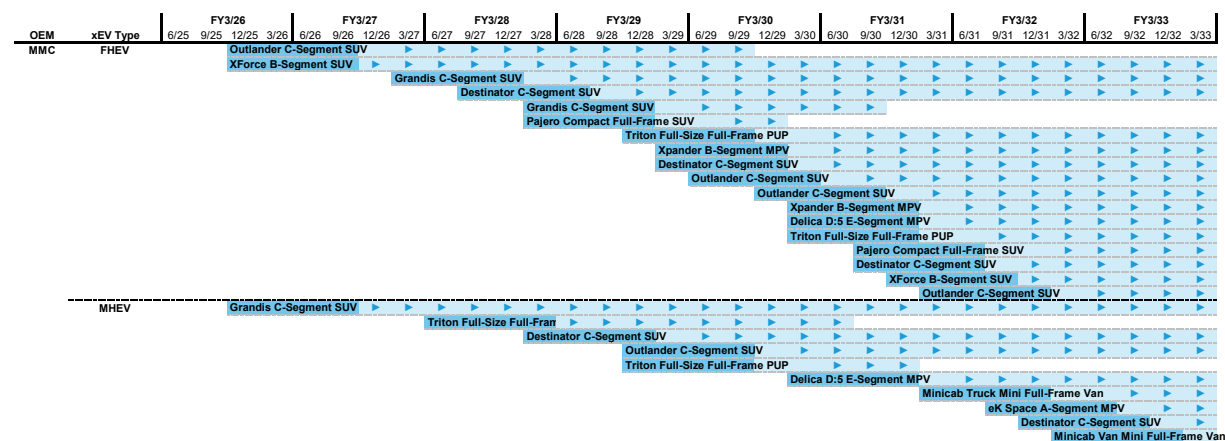


Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

MMC (not covered) announced in [its mid-term plan](#) in May 2026 that it will introduce a total of five new HEV models between FY3/27 and FY3/31. According to IHS forecasts, the company is expected to launch 28 HEV models by FY3/33 (Exhibit 36). MMC plans to expand its HEV portfolio across distinctive regions globally and has outlined a strategy that differs from those of other Japanese automakers. Key initiatives include strengthening development of its e:Motion HEV system for ASEAN markets, commencing local HEV production in the Philippines, and launching new HEV models in Vietnam and the UAE.

EXHIBIT 36: MMC's HEV model pipeline



Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

JAPANESE AUTOMAKERS EXPECTED TO BEGIN THEIR EV FIGHTBACK

Although the share of Japanese automakers in the global BEV market remained at only 3% in 2025, we believe their limited presence to date has been driven mainly by the small number of models they have offered (Exhibit 37). Their BEV lineup as of FY3/26 remains modest at only 43 models, but Japanese automakers are gradually expanding their model offerings (Exhibit 38). We expect them to introduce 45 additional EV (BEV+PHEV) models over the next three years starting in 2026, including 32 BEV models (Exhibit 39) and 13 PHEV models (Exhibit 40), which we see as the beginning of their fightback in the global EV market.

EXHIBIT 37: The share of Japanese automakers in the global BEV market remained at only 3% in 2025

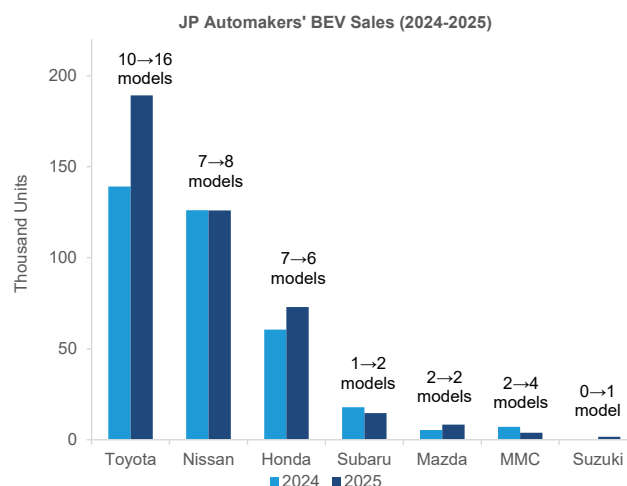
BEV Sales M/S Ranking	2021	2022	2023	2024	2025
1 BYD	7.0%	11.3%	14.9%	16.0%	13.9%
2 Tesla	19.6%	16.9%	18.3%	15.8%	11.3%
3 Geely	2.5%	5.3%	5.9%	8.3%	10.1%
4 SAIC	12.8%	9.9%	8.4%	7.7%	8.2%
5 VW	9.3%	7.5%	7.6%	6.4%	6.6%
6 Hyundai & Kia	5.1%	4.8%	4.3%	3.8%	3.5%
7 Changan	1.9%	3.0%	2.6%	2.9%	3.4%
8 Leapmotor	-	-	1.1%	1.9%	3.2%
9 Xiaomi	-	-	-	1.2%	3.0%
10 XPeng	2.1%	1.6%	1.4%	1.6%	2.9%
11 BMW	2.2%	2.7%	3.6%	3.4%	2.8%
12 Stellantis	4.3%	3.5%	3.0%	2.4%	2.5%
13 Chery	2.2%	3.1%	1.5%	2.3%	2.2%
14 GAC	2.6%	3.7%	5.0%	3.3%	2.2%
15 NIO	1.9%	1.6%	1.6%	1.9%	2.2%
...					
Toyota	0.5%	0.3%	0.9%	1.2%	1.3%
Nissan	1.9%	1.8%	1.5%	1.1%	0.9%
Honda	0.3%	0.3%	0.2%	0.5%	0.5%
Subaru	-	0.0%	0.1%	0.2%	0.1%
Mazda	0.2%	0.1%	0.1%	0.0%	0.1%
MMC	0.0%	0.1%	0.1%	0.1%	0.0%
Suzuki	-	-	-	-	0.0%

Japan Automakers M/S	3.0%	2.7%	2.9%	3.1%	2.9%
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Note: Market share based on group-level sales of automakers (Japanese automaker sales include JV models)

Source: SNE Research, Bernstein analysis

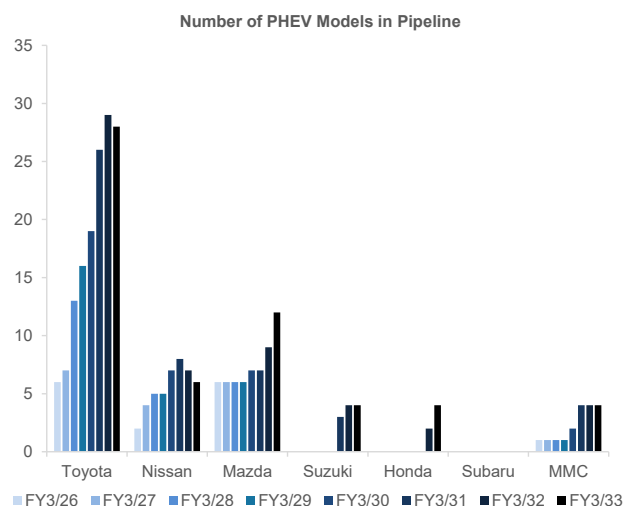
EXHIBIT 38: Their BEV lineup as of FY3/26 remains modest at only 43 models, but Japanese automakers are gradually expanding their model offering



The number of models in production in CY24 Q4 and CY2025 Q4

Source: SNE Research, Bernstein analysis

EXHIBIT 40: We expect Japanese automakers to introduce 13 PHEV models over the next three years



Excludes models with below 10,000 average annual units for Nissan, Toyota and Honda. Excluded models with below 1,000 average annual units for MMC, Mazda, Suzuki and Subaru
Source: IHS, Bernstein analysis

On the other hand, Nissan's PHEV strategy is likely to remain focused on China for the time being. Models such as the N6 and NX8 are expected to be offered as China-exclusive models built on Dongfeng platforms rather than as global models. While IHS data indicates that Nissan could begin rolling out PHEVs in global markets with the Qashqai from 2029, [recent media reports](#) suggest that development of the Qashqai EV has been put on hold, casting doubt on the company's PHEV expansion plans outside China.

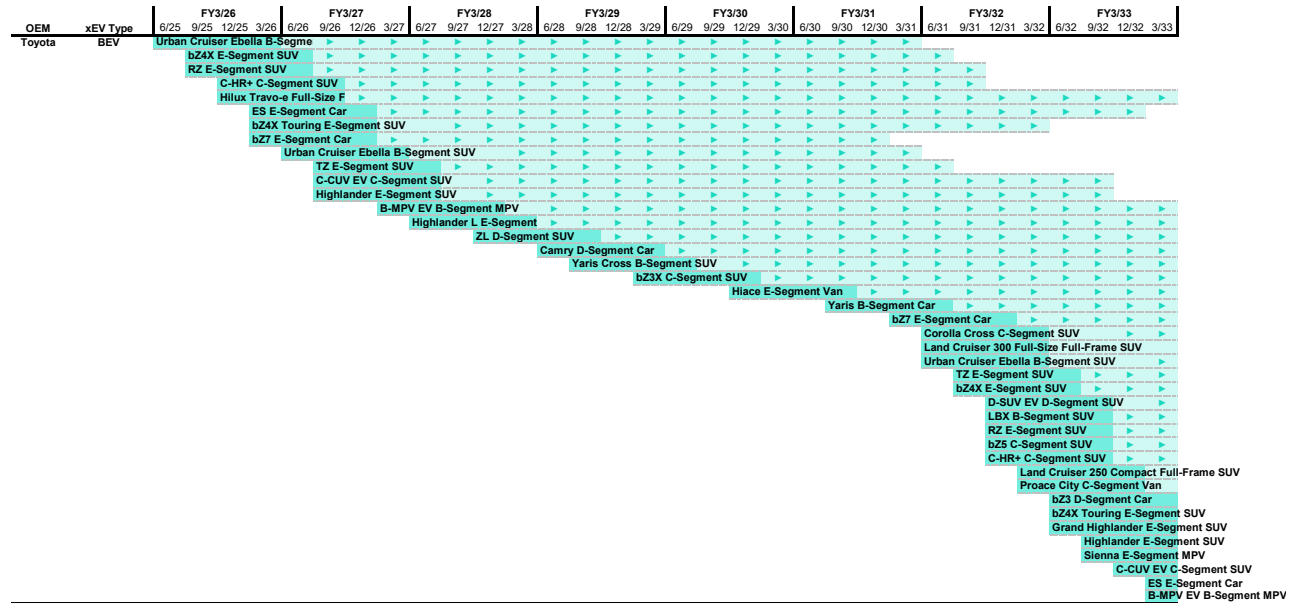
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We expect Toyota's EV model launch cadence to accelerate significantly in the coming years. Between FY3/26 and FY3/33, Toyota is scheduled to introduce 41 BEV models and 36 PHEV models, including both global models and China-exclusive

models, implying an average launch rate of nearly 10 new EV models per year (Exhibit 42, Exhibit 43). We forecast Toyota's BEV sales will more than double this year to 546 thousand units from 199 thousand units in 2025, while its share of the global BEV market is projected to increase to 3.3% by 2030 from 1.9% in 2025.

From a BEV perspective, we expect Toyota to expand its lineup across a wide range of segments and regions. This year, the company is expected to launch large-sized models such as the three-row Highlander BEV and the dedicated EV model TZ (although [media reports](#) suggest that the Highlander BEV launch may be delayed for at least 8 weeks). Beyond that, Toyota plans to introduce a broad range of BEVs across multiple markets, including the ZL, which is scheduled to be produced at Lexus's wholly owned Shanghai plant from 2028. On the PHEV side, deliveries of the RAV4 PHEV have already begun this year. Looking ahead, IHS expects Toyota to introduce PHEV variants of several core models in China, including the Camry, Sienna, and Corolla, further expanding its electrified product offering in the market.

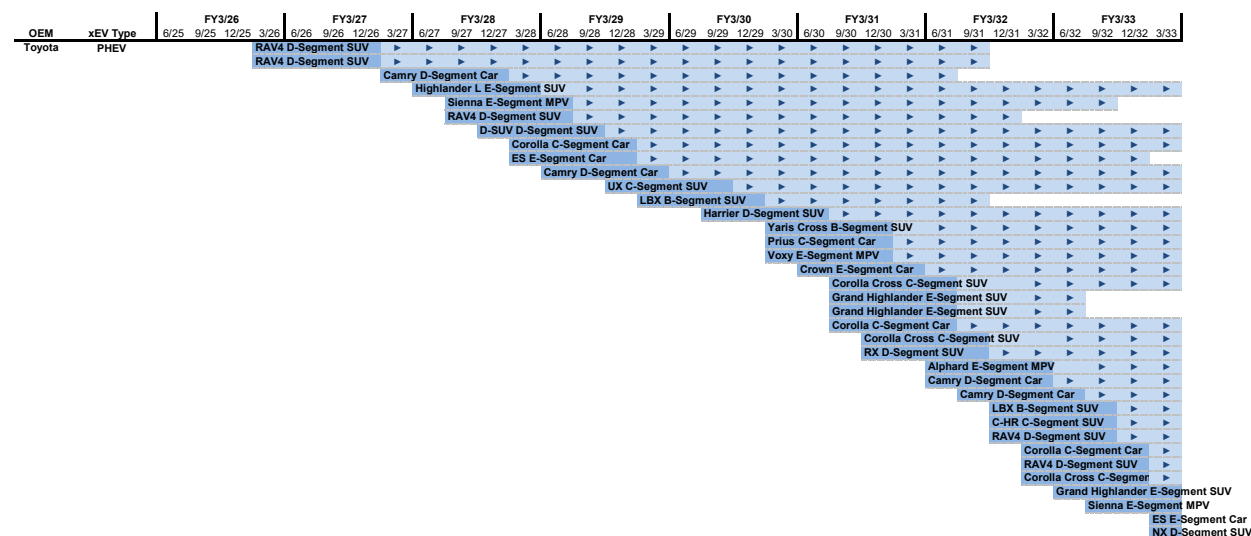
EXHIBIT 42: Toyota's BEV model pipeline



Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

EXHIBIT 43: Toyota's PHEV model pipeline



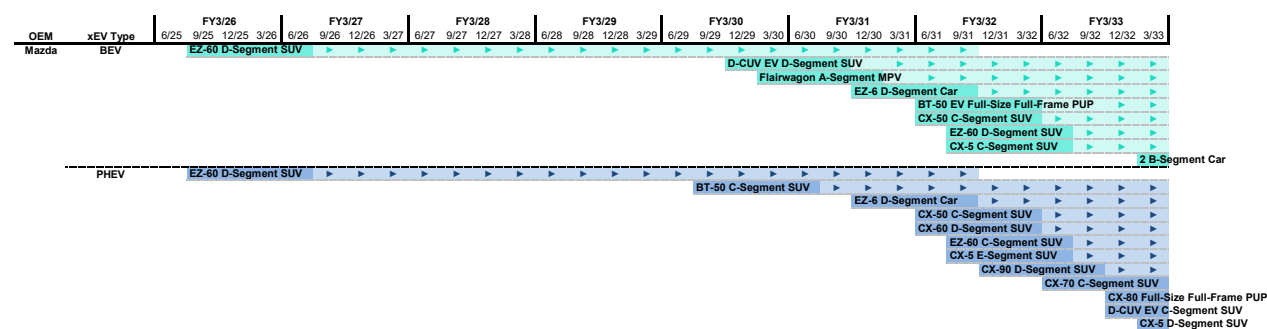
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

We expect Mazda's EV rollout to remain limited over the next few years. No new EV launches are scheduled before FY3/29, while 8 BEV models and 11 PHEV models are currently planned between FY3/29 and FY3/33 (Exhibit 44). [Media reports](#) suggest that the launch of Mazda's flagship BEV, which had initially been scheduled for 2027 or later, has been postponed until 2029 or beyond.

The D-CUV EV, which we believe to be the flagship BEV, is now expected to be launched no earlier than December 2029. Thereafter, Mazda's EV pipeline is likely to gain momentum, with refreshed versions of the China-exclusive EZ-6 and EZ-60 expected from December 2030. In addition, Mazda is projected to introduce EV variants of the CX-5 and CX-50 based on Changan platforms from 2031 onward.

EXHIBIT 44: Mazda's EV model pipeline



Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

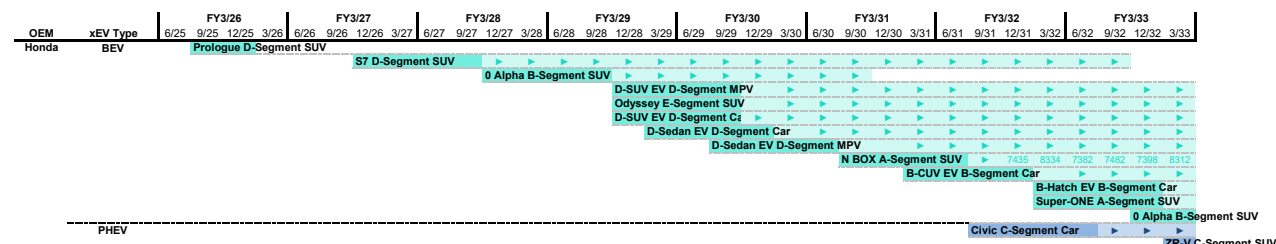
Honda is one of several automakers, alongside major US and European peers, that recognized substantial losses related to weak BEV demand and EV strategy revisions in its most recent fiscal year. The company has announced the cancellation of key BEV development plans, including the flagship 0 Saloon, 0 SUV, and Afeela series, while [media reports](#) also indicate that the GM-sourced Prologue will be discontinued. As a result, Honda's EV launch pipeline is expected to remain relatively limited over the next several years, with only 13 BEV models and 2 PHEV models currently planned between FY3/26 and FY3/33. (Exhibit 45).

Within the 0 Series lineup, the 0 Alpha (B-SUV) is the only model whose development will continue. Production is scheduled to begin in India in CY2026 Q4, with the vehicle to be exported to global markets. Honda is also expected to launch a BEV

version of the N-BOX, Japan's best-selling model, in CY2027 Q4. Beyond these models, Honda's BEV strategy is likely to be increasingly concentrated in China. IHS expects the company to introduce a D-SUV and D-Sedan in 2028 based on Dongfeng and GAC platforms. This marks a notable shift from the earlier e:N and Ye series, which were developed on Honda-led architectures despite being launched as China-focused models.

Honda has historically placed limited emphasis on PHEVs. However, based on the current product roadmap, the company could begin introducing PHEV variants of core models such as the Civic and ZR-V from 2031 onward, marking a gradual expansion into the segment.

EXHIBIT 45: Honda's EV model pipeline



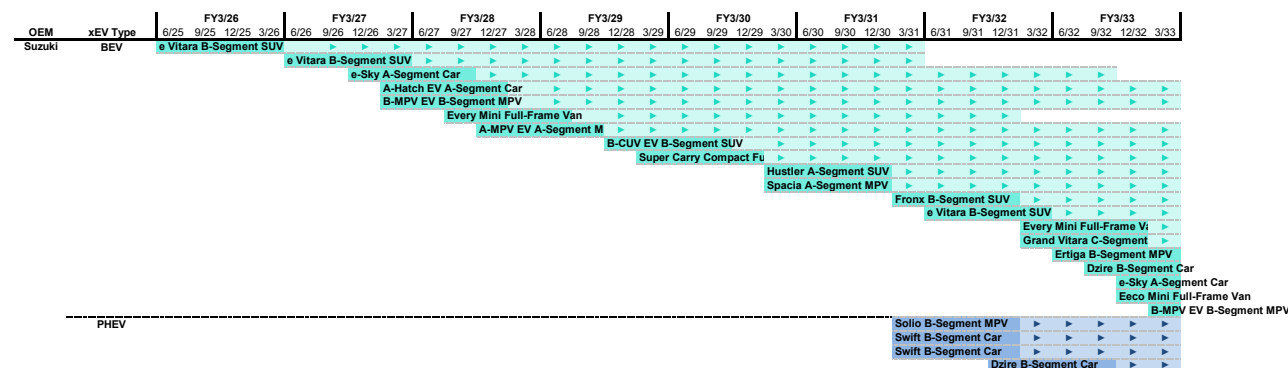
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

Suzuki entered the BEV market in FY3/26 with the launch of its first BEV, the e Vitara, and is going to gradually expand its BEV portfolio going forward, with 20 BEV models and 4 PHEV models currently planned between FY3/26 and FY3/33 (Exhibit 46). This year, IHS expects the company to introduce its first Kei-car BEV, the e-Sky, whose concept model was unveiled at the Japan Mobility Show 2025, with production scheduled to begin in CY2026 Q4. The e-Sky was initially targeted primarily at Japan's Kei-car segment. However, [media reports](#) suggest that the model could also be marketed in Europe and India. Should the vehicle be launched in Europe, a key area of focus will be whether it complies with the M1E classification requirements.

Thereafter, IHS expects Suzuki to broaden its lineup in the compact-car and Kei-car segments, which have long been its core strengths. Planned launches include the Japan-produced A-Hatch in CY2027 Q1, as well as B-MPV produced in India and jointly developed with Toyota. On the PHEV front, Suzuki appears to be considering market entry from 2030 onward. Development is underway for PHEV variants of key models such as the Solio, Dzire, and Swift.

EXHIBIT 46: Suzuki's EV model pipeline



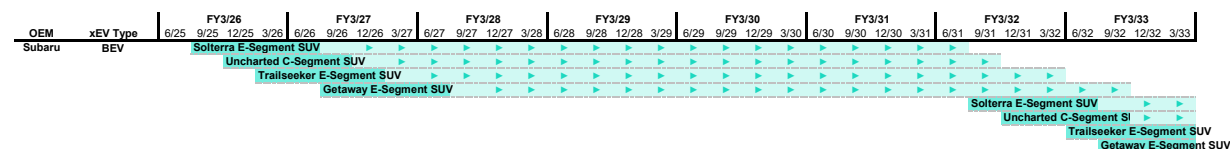
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

Subaru announced 4 new BEV models in FY3/26: the new Solterra (a sibling model to Toyota's bZ4X, produced at Toyota's Motomachi plant), Uncharted (a sibling model to Toyota's C-HR+, produced at Toyota's Takaoka plant), Trailseeker (a sibling model to Toyota's bZ4X Touring, produced at Subaru's Yajima plant), and Getaway (a sibling model to Toyota's 5th-gen Highlander and Lexus TZ) (Exhibit 47).

Subaru has also announced a postponement of its in-house developed BEV, which had originally been scheduled for launch in 2028, although a revised launch timeline has not yet been disclosed. As a result, visibility is currently limited to refreshes of the four announced BEV models from FY3/32 onward, while there are no clearly identifiable plans for PHEV sales expansion.

EXHIBIT 47: Subaru's EV model pipeline



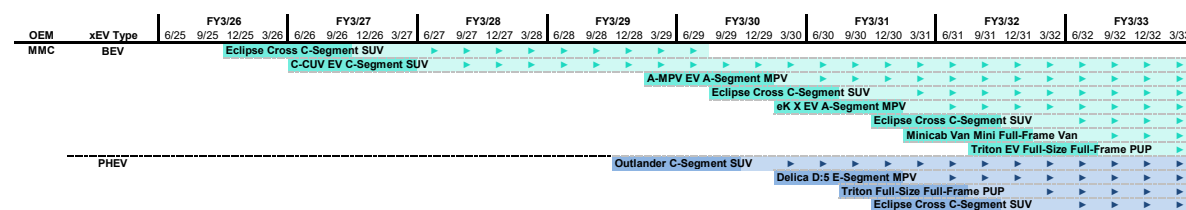
Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

MMC has already ceased in-house BEV development and IHS expects MMC to rely on the Renault-Nissan-Mitsubishi Alliance to market OEM-sourced BEV models, while continuing to build on its traditional strength in PHEVs. Between FY3/26 and FY3/33, the company's product pipeline comprises 8 BEV models and 4 PHEV models (Exhibit 48).

The Eclipse Cross, launched in CY2025 Q4, is an OEM version of the Renault Scenic E-TECH. Meanwhile, the C-CUV scheduled to enter production in CY2026 Q2 is based on the Nissan Leaf and will be manufactured at Nissan's Tochigi plant. We believe the model is likely to be launched in North America under the Eclipse Sportback nameplate. On the PHEV side, a refreshed Outlander is scheduled for launch in CY2028 Q4. Beyond 2030, IHS expects MMC to continue expanding its PHEV portfolio through a series of core models, including the Delica D:5 E-MPV, which will be produced in Japan, the Triton pickup built in Thailand, and the Eclipse Cross, an OEM model sourced from Renault.

EXHIBIT 48: MMC's EV model pipeline



Note: Excluded models with less than 10,000 average annual units for Nissan, Toyota, Honda. Excluded models with less than 1,000 average annual units for MMC, Mazda, Suzuki, Subaru

Source: IHS, Bernstein analysis

THE PROMISE AND PITFALLS OF CHINA-EXCLUSIVE MODELS

China's rapid electrification and the emergence of numerous domestic automakers have created a challenging environment for foreign brands, including Japanese automakers. These companies have struggled across multiple dimensions, including electrification, pricing competitiveness, ADAS/AD capabilities, and interior and exterior design, resulting in declining sales volumes. In response, Japanese automakers have increasingly focused on China-exclusive models tailored specifically for local consumers. In many cases, these vehicles are designed and developed primarily by local JV partners rather than the Japanese automakers themselves, utilize platforms provided by local partner automakers, and extensively incorporate local suppliers in order to enhance cost competitiveness. In addition, automakers are increasingly beginning to view China as an export hub, following the approach already adopted by many Chinese automakers. As a result, they have started exporting China-exclusive models to overseas markets. Consequently, we believe these China-exclusive vehicles will become increasingly important not only from the perspective of sales in China, but also as a driver of global sales growth.

Current status and outlook for sales and exports of China exclusive models

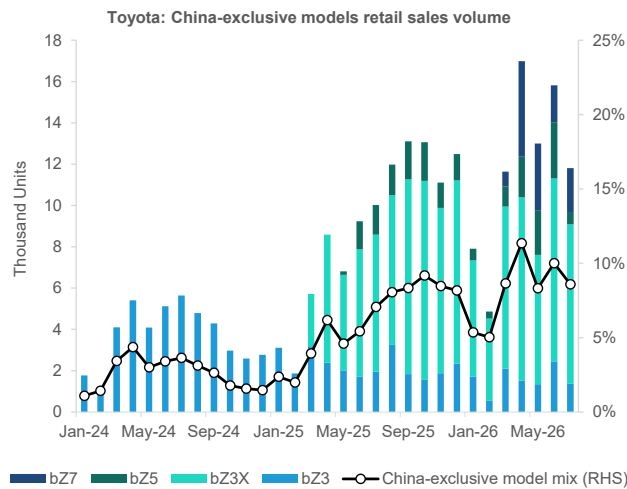
Among Japanese automakers, Toyota appears to have been the most successful in executing this localized strategy. Following the launch of the bZ3 in 2022, which was jointly developed with FAW (private) and BYD (covered by Eunice Lee), Toyota introduced three additional China-exclusive models: the bZ3X (2025) and bZ7 (2026), both co-developed with GAC (covered by Eunice Lee), and the bZ5 (2025), co-developed with FAW. Of these, the bZ3X has been particularly successful. In addition to its competitive pricing, the model is equipped with Momenta's (not covered) Urban NOA technology, which has been well received by consumers. According to June 2026 monthly sales data, bZ3X sales reached 8.9k units, while combined sales of Toyota's four China-exclusive models totaled 15.8k units, representing 10% of the company's sales in China (Exhibit 49). The contribution from these models has also been trending upward.

Toyota's exports of China-exclusive models remain at a very early stage and have yet to scale meaningfully. GAC Toyota began exporting the bZ3X with an initial shipment of 524 units in November 2025 and has continued to export small volumes through June 2026 (Exhibit 50). However, these exports have been considered to be limited primarily to left-hand-drive models destined for the Hong Kong market, and exports to other regions such as ASEAN market have not yet commenced.

In our view, large-scale exports of China-produced models could trigger significant price disruption in local markets and therefore should be approached cautiously. While other Japanese automakers have begun leveraging China as an export base in order to remain competitive, Toyota appears to be taking a more measured approach. The company is still in the process of learning from Chinese automakers in areas where they currently hold a competitive advantage, including cost competitiveness, ADAS/AD, and vehicle intelligence. As such, we expect Toyota to maintain its wait-and-see stance toward large-scale exports of China-exclusive models for the time being.

Looking at Toyota's model pipeline in China, we believe that the company plans to introduce approximately 27 new models between FY3/26 and FY3/33, including 12 China-exclusive models, based on IHS data (Exhibit 51). Key launches include a D-SUV based on a FAW platform in 2027 and the Lexus ZL in 2028, which will be produced at Toyota's wholly owned Lexus plant in Shanghai. What is particularly noteworthy is that Toyota's localization effort extends beyond new model launches. IHS expects existing global models such as the Highlander, Sienna, and Camry to undergo comprehensive redesigns in collaboration with GAC specifically for the Chinese market. Among Japanese automakers, Toyota appears especially willing to learn from its Chinese partners and is rapidly transforming its development strategy in an effort to regain competitiveness in a market characterized by accelerating technological innovation and intense price competition. We expect Toyota to regain sales momentum in China from around 2027 as the rollout of its China-exclusive models accelerates.

EXHIBIT 49: **The proportion of Toyota's China-exclusive models has been increasing, reaching 15k units and accounting for 10% of total sales in Jun-2026**



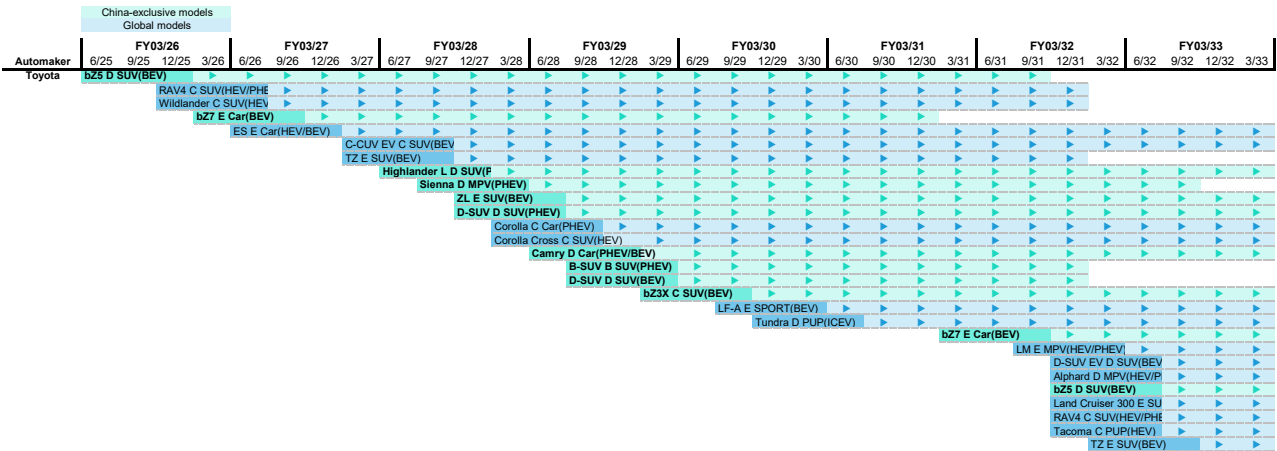
Source: C.A.D., Bernstein analysis

EXHIBIT 50: **Toyota: China Export Volume**



Source: CAAM, Bernstein analysis

EXHIBIT 51: **Toyota: China model pipeline outlook**



Source: IHS, Marklines, Company reports, Bernstein analysis

Nissan stands out among Japanese automakers as one of the companies seeing tangible success from its China-exclusive vehicle strategy. Although Nissan was the latest among its Japanese peers to launch China-only models, beginning in April 2025, it has rapidly rolled out a series of vehicles developed by its JV partner Dongfeng. Following the launch of the N7 in April 2025, Nissan introduced the N6 and NX8 EVs in quick succession. As of June 2025, combined sales of these models had reached 11.4k units, accounting for nearly 40% of Nissan’s total sales in China (Exhibit 52).

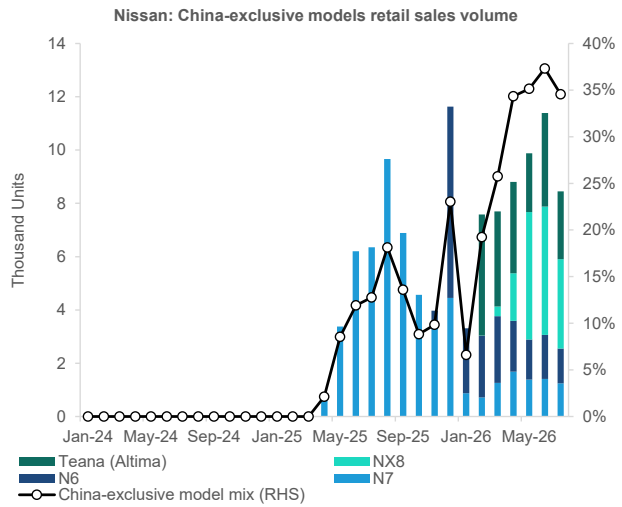
In addition, while not currently tracked in C.A.M. data, Nissan has also launched the Frontier Pro, a C-segment PHEV pickup truck. Beyond EVs, Nissan is localizing its ICEV lineup for Chinese consumers. For example, the Teana is equipped with Huawei’s (private) HarmonySpace 5.0 smart cockpit system, demonstrating Nissan’s efforts to tailor products specifically for the Chinese market.

Nissan is taking a notably more proactive approach toward exporting its China-exclusive models. Historically, Dongfeng Nissan's export activity was largely limited to Venucia-branded vehicles, which were considered to be shipped to markets such as Myanmar and Egypt, while Nissan-branded China-exclusive models were basically not exported (Exhibit 53). More recently, however, Nissan has begun laying the groundwork for a broader export strategy. In July 2025, Dongfeng and Nissan China established a joint venture dedicated to export operations. Subsequently, exports of the Frontier Pro, a PHEV pickup truck developed in China, began to Mexico in July 2026. In addition, at the Philippine International Motor Show held in June 2026,

Nissan announced plans to market the N7 under the name Primera EV and the Frontier Pro under the name Navara Pro in the Philippine market. Further supporting this trend, the Canadian government announced in January 2026 that it would permit annual imports of up to 49,000 China-made EVs. Against this backdrop, [media reports](#) have indicated that Nissan is evaluating broader exports of China-produced vehicles to overseas markets.

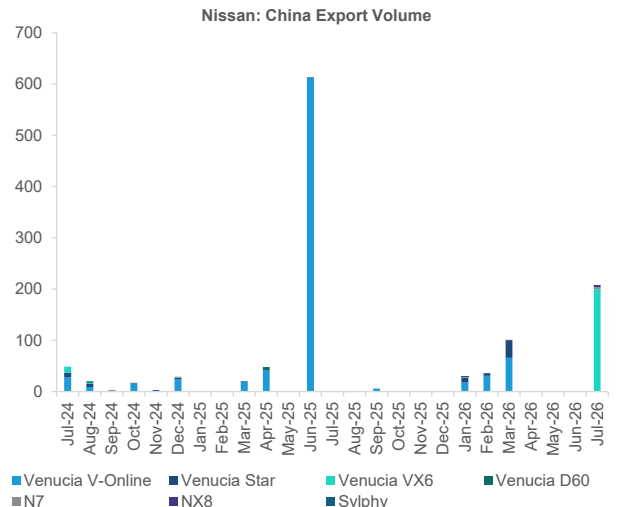
Looking ahead, Nissan’s product pipeline suggests an even greater focus on China-exclusive models (Exhibit 54). The company plans to launch 15 models by FY3/33, of which 11 are expected to be China-exclusive vehicles. All of these models are likely to be based on Dongfeng platforms, highlighting the deepening role of the JV partner in Nissan’s China strategy.

EXHIBIT 52: Nissan began selling its first China-exclusive model of N7 in Apr-2025 and the models now accounts for >30% of its China sales



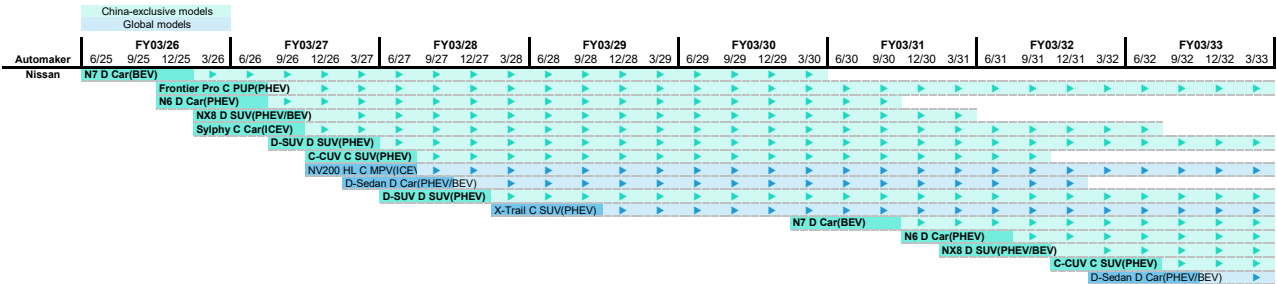
Teana sales including the former models
Source: C.A.D., Bernstein analysis

EXHIBIT 53: Dongfeng Nissan's export was largely limited to Venucia-branded vehicles, while Nissan-branded China-exclusive models were basically not exported



Source: CAAM, Bernstein analysis

EXHIBIT 54: Nissan: China model pipeline outlook

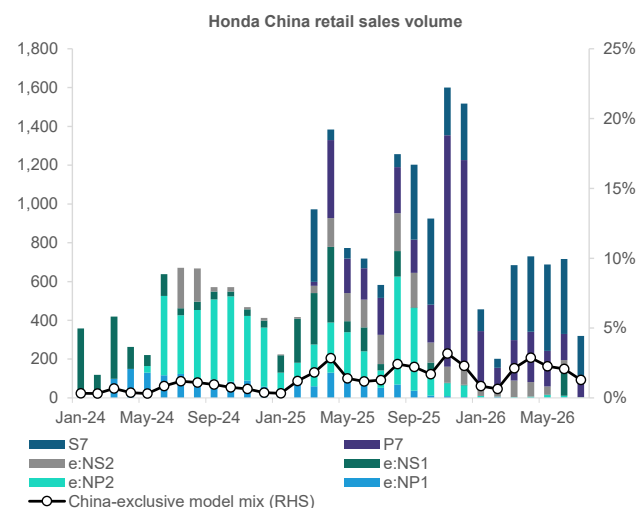


Source: IHS, Marklines, Company reports, Bernstein analysis

Mazda has launched only two China-exclusive models, but their contribution to the company’s sales mix in China has been increasing. Mazda has already rolled out the Changan-developed EZ-6 sedan and EZ-60 SUV, and combined sales reached 807 units in June 2026, representing ~30% of Mazda’s total sales in China (Exhibit 55). Mazda positions exports of its China-exclusive models as one of the core pillars of its EV strategy. As of June 2026, Mazda exported ~2.7k units from China, making it the largest exporter among Japanese automakers (Exhibit 56). These exports consist of the EZ-6 and EZ-60, which are marketed globally as the Mazda6e and CX-6e, respectively. Vehicles exported from China to Europe are subject to tariffs of ~30%. Even so, these models appear to remain sufficiently competitive to generate profits. Beyond Europe, Mazda has already announced plans to introduce these models in other overseas markets, including Australia and ASEAN countries. Given that Mazda is still developing its next-generation flagship BEV technologies, exports of China-developed models are likely to play an increasingly important role in the company’s electrification strategy.

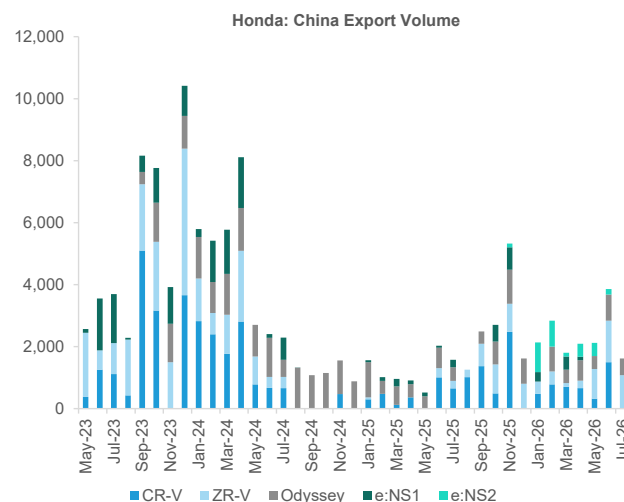
further exacerbate what is already a highly challenging operating environment in China.

EXHIBIT 58: Honda offers the largest 6 lineup among Japanese automakers, yet sales remained weak, with only 580 units sold and a 1.7% mix ratio in June



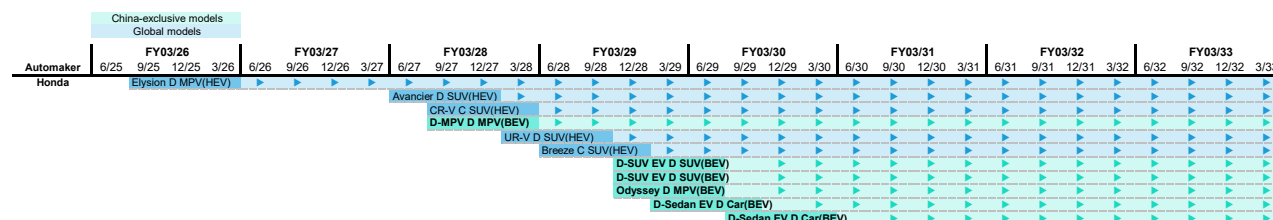
Source: C.A.D., Bernstein analysis

EXHIBIT 59: Honda: China Export Volume



Source: CAAM, Bernstein analysis

EXHIBIT 60: Honda: China model pipeline outlook



Source: IHS, Marklines, Company reports, Bernstein analysis

Rising local sourcing in China-exclusive models poses a growing threat to suppliers

Japanese automakers shifted their focus to developing China-exclusive models primarily to address their previous shortcomings in product appeal and price competitiveness, which had contributed to weak sales. To accelerate this process, they have been collaborating closely with Chinese automakers, who already offer attractive models, engaging in joint development efforts and learning from their expertise. In this context, it makes practical sense to leverage the existing supply chain that the partner Chinese automakers use for sourcing technology and components. As a result, Japanese auto parts suppliers such as Aisin and Denso, under our coverage, are beginning to face the risk of losing their existing business. What makes the situation even more challenging is that Japanese automakers plan to incorporate parts from highly competitive Chinese suppliers—discovered during the development of China-exclusive models—not only into other models in China but also into their global production models, including those in Japan. This raises the possibility that Japanese automotive parts suppliers could face an increased risk of losing business not just in China, but globally.

For example, Toyota has incorporated BYD's electric powertrains and batteries in its first China-exclusive model, developed in partnership with BYD, and is similarly sourcing these components from BYD for the newly launched bZ5 (Exhibit 61). Additionally, the well-selling bZ3X uses Innovance's (covered by Jay Huang) eAxe for its electric powertrain, batteries from CALB (not covered), vehicle control ECUs from United Automotive Electronics System (UAES, privately held), a local Chinese company under Bosch, ADAS systems from Momenta, and RoboSense (not covered) and Hesai (covered by Dien Wang) 's LiDAR, Vigo's (privately held) outside mirror, giving the impression that Toyota-affiliated suppliers have been completely excluded. Moreover, the bZ7 source a wide range of components, including the electric powertrain and IVI (In-Vehicle Infotainment) system, from Huawei. In particular, for models like the Lexus ZL, a precursor to the new Lexus factory expected to launch around 2028, we believe there is a strong possibility that parts sourcing will shift more drastically from Toyota-affiliated suppliers to

Chinese suppliers.

EXHIBIT 61: Toyota's auto parts suppliers for its China-exclusive models

		Chinese local suppliers										
		Japanese suppliers										
Model	MY	Supplier										
		e-Axle	Inverter	Driving motor	Battery	ABS	Seat	LiDAR/ Sensor	ADAS	Lamp	Harness	
bZ3	2022	BYD		BYD	BYD	Advics						
	2023	BYD		BYD	BYD	Advics	Toyota Boshoku					
	2024						Toyota Boshoku					
	2025				BYD					Momenta		
bZ3X	2024	Nidec	Nidec	Nidec	Zenergy	Bosch				Momenta		
	2025	Inovance	Inovance	Inovance	CALB	Bosch		RoboSense	Momenta	Fuerda/ Hasco/ Xingyu/ Jiali	Luxshare	
	2026							Hesai	Momenta	Jiali/ Xingyu	Luxshare	
bZ5	2025	BYD	BYD (SiC: Rohm)	BYD	BYD	Advics	FAWAY Adient		Momenta		BYD	
	2026		(SiC: Rohm)					RoboSense			BYD	
bZ7	2025	Huawei	Huawei	Huawei	Zenergy/ CALB	Advics			Momenta			
	2026	Huawei	Huawei	Huawei	CALB	Advics			Momenta			
bZ4X (China)	2025	Aisin		Aisin	CATL		Adient	Denso* (M/W Radar)				
Levin HEV (China)	Various		Denso	Toyota in-house	BYD	Advics Bosch	Toyota Boshoku	Denso (Radar)		Koito Jiali	Yazaki/ Sumitomo Electric/ Furukawa Electric	

* Suppliers for non-China model; all the companies except for BYD, Inovance, Luxshare, Hesai not covered; BYD covered by Eunice Lee, Inovance covered by Jay Hunag, Luxshare covered by Alex Wang, Hesai covered by Dien Wang
Source: Marklines, Bernstein analysis

Similarly, Nissan has accelerated localization of its supply chain for China-exclusive models (Exhibit 62). For N7, launched in 2025, Nissan has adopted suppliers having business with its JV partner Dongfeng, particularly in safety- and energy-related components, Dongyu Xincheng (private) for batteries, Bethel for ABS, Fretech for cameras, and Momenta for ADAS. These areas were traditionally dominated by global tier-1s such as Bosch or by affiliated suppliers like Astemo within the Honda and Nissan supply chain. For N6, Nissan diversified further by sourcing batteries not only from CATL but also from Rept Battero (not covered). The recently launched NX8 continues to leverage many of the battery suppliers utilized in the N7 and N6. In addition, for key ADAS/AD-related components, Nissan has adopted RoboSense LiDAR and Desay SV camera solutions. As a result, Nissan's China-exclusive vehicle lineup is becoming increasingly reliant on leading Chinese suppliers across critical technology domains and this trend highlights how the role of Japanese-affiliated suppliers within Nissan's China operations is rapidly diminishing.

EXHIBIT 62: Nissan's auto parts suppliers for its China-exclusive models

		Chinese local suppliers										
		Japanese suppliers										
Model	MY	Supplier										
		e-Axle	Inverter	Driving motor	Battery	ABS	Seat	LiDAR/Sensor	ADAS	Camera	Lamp	
N7	2025	Dongfeng	Dongfeng	Dongfeng	Dongyu Xinsheng	Bethel	Yanfeng		Momenta	Fretech/Longhorn	Xingyu/Jiali/CandidTech	
N6	2025				Rept Battero/CATL	Bosch			Momenta			
NX8	2026	Dongfeng	Dongfeng	Dongfeng	Dongyuu Xinsheng/Rept Battero/CATL	Bethel/Bosch	Adient	RoboSense	Momenta	Desay SV		
Sylphy BEV	Various			Nissan in-house	CATL	Astemo					Tung Thih Electron*	
Venucia D60 (BEV)				Valeo		Bosch	Lear					

* Suppliers for non-China model

Source: Marklines, Bernstein analysis

Mazda has similarly pursued localization by leveraging in-house components from Changan and sourcing from suppliers with close business ties to its JV partner (Exhibit 63). Beyond batteries supplied by CALB and CATL-Changan (privately held), both the EZ-6 and EZ-60 source lighting systems from Liaowang (privately held), a local supplier.

EXHIBIT 63: Mazda's auto parts suppliers for its China-exclusive models

		Chinese local suppliers									
		Japanese suppliers									
Model	MY	Supplier									
		e-Axle/Engine	Inverter	Driving motor	Battery	ABS	Seat	Lamp	Window regulator	HUD	
EZ-6	2024	Changan (EREV)		Changan Mazda	CALB (EREV)/CATL-Changan (BEV)	Bosch		Liaowang	Hi-Lex		
	2025				PPES (EREV)			Liaowang	Hi-Lex		
EZ-60	2025	Changan (EREV)		Changan Mazda	CATL-Changan (EREV)/CALB (BEV)	Bethel	TS Tech	Liaowang	Hi-Lex	Foryou	
CX-30 BEV (China)	Various		Mitsubishi Electric*	Changan	CATL	Aumovio	Delta Kogyo*/Toyo Seat*	Stanley Electric*	Hi-Lex	Nippon Seiki*	

* Suppliers for non-China model

Source: Marklines, Bernstein analysis

Honda has also pursued battery localization since the launch of the e:N series in 2022, primarily sourcing batteries from its partner CATL (Exhibit 64). While the higher price point of its China-exclusive models has often been cited as a factor behind weak sales, the newly launched Ye series reflects deeper localization: e-Axles sourced from UAES and displays supplied by Huawei. However, Honda continues to use its in-house ADAS system, meaning the models were launched without NOA functionality. The company has already announced plans to adopt Momenta's ADAS/NOA system in future models to close this gap.

EXHIBIT 64: **Honda's auto parts suppliers for its China-exclusive models**

Chinese local suppliers		Japanese suppliers								
Model	MY	Supplier								
		e-Axle	Inverter	Driving motor	Battery	ABS	Seat	ADAS	Display/Meter	Lamp
e:NP1	2022				CATL		Adient			
	2023								Visteon	
	2024						Adient			
	2025						Adient		Visteon	
e:NS1	2022				CATL				Visteon	
	2023								Visteon	
	2025				Lishen/ CALB		Tachi-S			
e:NP2	2024		Vitesco		CATL	Aumovio			Tianma	Jiali
e:NS2	2024		Vitesco		CATL	Aumovio				
	2025				CATL					
Ye P7	2025	UAES	UAES	UAES	CATL			Honda in-house	Huawei	
Ye S7	2024	UAES	UAES	UAES	CATL	Bosch				
	2025						TS Tech	Honda in-house	Huawei	Jiali
Climo X-NV	2022/2023			Juyi Power System	CATL	Astemo				
Accord HEV (China)	Various		Mitsubishi Electric*	Honda in-house	Blue Energy*	Aumovio	TS Tech		Denso*	Stanley Electric*

* Suppliers for non-China model

Source: Marklines, Bernstein analysis

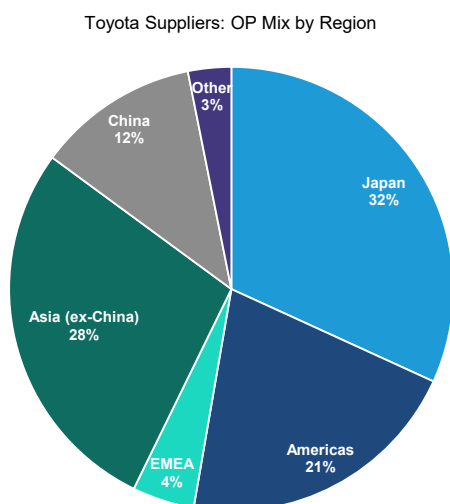
Significant impact expected as Japanese suppliers' China operations have been highly profitable

For Japanese automakers, developing China-exclusive models in partnership with local Chinese companies and using parts from Chinese suppliers is highly beneficial for boosting product appeal and price competitiveness. However, this also poses significant risks for the Japanese parts suppliers who have traditionally supplied these components. Historically, since Japanese automakers started expanding into China, they have encouraged their existing parts suppliers to enter the Chinese market together through a coordinated approach, building their own supply chains.

At the same time, automakers have taken into account the suppliers' return on investments, allowing them to operate with attractive pricing. This has enabled Japanese auto parts suppliers to maintain relatively high profitability in China over an extended period. While automakers' pricing demands have gradually tightened, China still represents about 12% of suppliers' OP, (Exhibit 65). This means that if suppliers' business declines as a result of automakers introducing China-exclusive models, it could have a substantial impact on their overall consolidated performance.

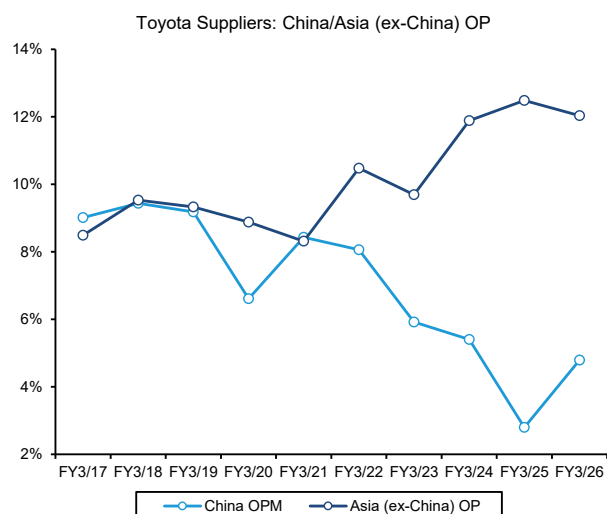
There are also early signs that this trend may be expanding beyond China into Southeast Asia. According to [Nikkei](#), Toyota has begun increasing procurement from Chinese parts suppliers in Thailand and plans to incorporate their components into new xEVs that will be locally produced from 2028 onward. If such efforts gain traction, they could put at risk another important profit pool for Japanese suppliers, Asia outside China. In that scenario, suppliers could face a path similar to that seen in China, where increased sourcing from local suppliers ultimately led to declining profitability and loss of market share for incumbent Japanese suppliers (Exhibit 66).

Looking at individual companies, the exposure is particularly significant for firms such as Toyota Boshoku (not covered) and Tokai Rika (not covered), which derive more than half of their consolidated operating profit from Asia. As a result, these suppliers may be especially vulnerable if Japanese automakers accelerate the adoption of local suppliers across Asian markets, potentially leading to increased competitive pressure and a gradual erosion of their earnings base in the region.

EXHIBIT 65: Toyota suppliers ~40% of their OP from Asia, highlighting the region's importance as a key market


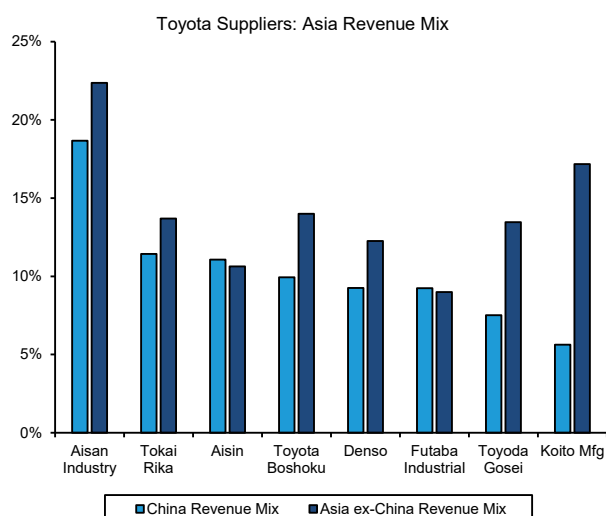
Note: Figures include Denso, Aisin, Toyota Boshoku, Koito, Toyoda Gosei, Futaba Industrial, Tokai Rika, and Aisan Industry, and are calculated on an aggregated basis

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 66: If local sourcing continues to increase, supplier profitability in Asia could come under pressure


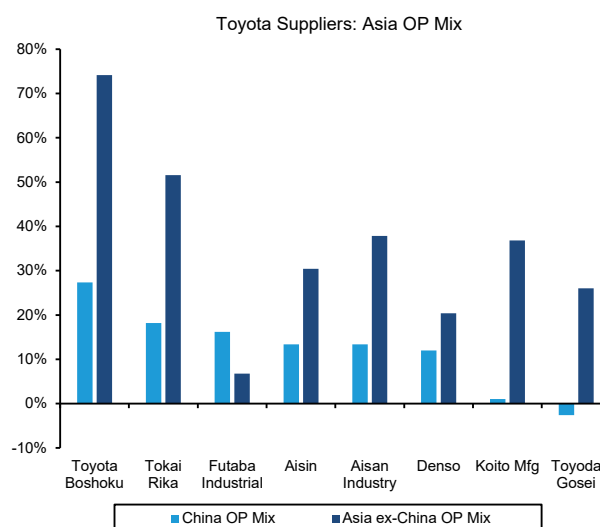
Note: Includes Denso, Aisin, Toyota Boshoku, Koito, Toyoda Gosei, Futaba Industrial, Tokai Rika, Aisan Industry

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 67: Toyota suppliers: China/Asia (ex-China) revenue mix


Note: All the companies except for Denso and Aisin not covered by Bernstein

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 68: Toyota suppliers: China/Asia (ex-China) operating profit mix


Note: All the companies except for Denso and Aisin not covered by Bernstein

Source: Bloomberg, Company reports, Bernstein analysis

TOYOTA IS OUR TOP PICK

Viewed through the lens of the ongoing electric revolution, Toyota continues to stand out as our most preferred name. The company is well positioned to capture the ongoing expansion in HEV demand, which should support growth in both revenue and profit. At the same time, this year is likely to mark the true starting point of its full scale push in the EV market. As Toyota begins to build a stronger presence in EVs, we believe remaining concerns about its historically heavy reliance on HEVs will gradually ease, creating room for a potential valuation re rating. We are also positive on the success of its China-exclusive strategy and the company's increasing exposure to China's advanced EV development capabilities. We also maintain our Outperform rating on Suzuki. Its timely entry into a Kei-car EV market that is expected to fully open this year should be viewed positively.

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